



Network Pricing Proposal

**Period 4
1 July 2010 to 30 June 2011**

Version 1.3 – May 2010

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Document History

Date	Version	Comments
23 April 2010	1.0	Original
30 April 2010	1.1	Approved for submission
30 April 2010	1.2	Submitted to OTTER
7 May 2010	1.3	Resubmission to reflect corrections recommended by OTTER

1. Introduction

1.1. Purpose

This Pricing Proposal has been prepared to fulfil the dual roles of compliance with the Guideline and to provide customers connected to the Aurora Distribution Network with an indication of the proposed tariffs for their use of the network during the fourth period governed by the Determination, which is to run from 1 July 2010, until 30 June 2011.

1.2. Regulatory Arrangements

Aurora is a Tasmanian Government owned electricity distribution and retail company. It was formed in July 1998 pursuant to the *Electricity Companies Act 1997* and incorporated under the Corporations Law. It has two shareholders, the Minister for Energy and the Treasurer.

As the monopoly provider of distribution and certain metering services within the Tasmanian jurisdiction, Aurora is required to hold a distribution licence in accordance with the ESI Act. This licence was issued in December 1998, and authorises Aurora to distribute electricity on mainland Tasmania subject to certain conditions and regulatory controls.

The Office of the Tasmanian Economic Regulator undertakes the regulation of distribution services within the Tasmanian jurisdiction. A key component of this jurisdictional regulation is the review and monitoring of the economic framework that will apply to the regulated businesses within the jurisdiction.

Under this economic framework the Regulator is required to investigate the prices for the provision of distribution and metering services in accordance with the Price Control Regulations. This investigation culminates in the release of a pricing determination that outlines the maximum allowable revenues, or prices, that Aurora may earn for the provision of regulated distribution and metering services for the regulatory period.

The 2007 Determination was delivered in October, 2007, and sets the maximum allowable revenues and prices that Aurora may earn for the regulatory period from 1 January 2008 to 30 June 2012.

Tariffs for collection of revenues allowed by the Determination are constructed in compliance with the Determination and the Network Tariff Guideline.

1.3. Current Network Tariffs

The Network Tariffs offered in Period 4, which runs from 1 July 2010 until 30 June 2011 are presented in Table 1

Table 1: Network Tariffs Offered in Period 4

Tariff	MSATS Code	Description	NUoS Components
N01	AURESGEN	General Network – Residential	Daily charge with declining three step energy charge
N02	AUBLVGEN	General Network – Business	Daily charge with declining two step energy charge
N02a	AUBLVNURSE	General Network – Business, Nursing Homes	Daily charge with declining two step energy charge - Obsolete
N02b	AUBLVCURT	General Network – Business, Curtilage	Daily charge with declining two step energy charge - Obsolete
N03	AUBLVDMKW	LV kW Demand	Daily charge, single energy charge and declining two step demand charge - Obsolete
N05	AUHEATUNCO	Uncontrolled Energy	Daily charge with single energy charge
N06	AUHEATCONT	Controlled Energy	Daily charge with single energy charge
N06a	AUHEATCONN	Controlled Energy	Daily charge with single energy charge
N07	AUUMS	Small LV Unmetered	Daily charge with single energy charge
N08	AUIRRIG	LV Day/Night (Irrigation)	Daily charge with peak and off-peak energy charge - Obsolete
N08a	AUIRRIGTOU	LV Irrigation (TOU)	Daily charge with time of use energy charge
N09	AUBLVDMKVA	LV kVA Demand	Daily charge, single energy charge and declining two step demand charge
N10	AUBHVDMKVA	HV kVA Demand	Daily charge, single energy charge and single demand charge - Obsolete
N10s	AUHVSPECDM	HV KVA Specified Demand	Daily charge, time of use energy charge, specified and excess demand charges
N11	AUBHVDMKW	HV kW Demand	Daily charge, single energy charge and single demand charge - Obsolete
N13	AUPAYG	LV PAYG	Daily charge with single energy charge - obsolete
N13b	AUBUSTOU	LV ToU – Business	Daily charge with time of use energy charge
N13r	AURESTOU	LV ToU - Residential	Daily charge with time of use energy charge

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Tariff	MSATS Code	Description	NUoS Components
N15	AUCHVDM2	HV kVA Specified Demand (> 2.0MVA)	Daily charge, time of use energy charge, specified and excess demand charges and nodal transmission charge
N20	AUUMSSL	Street Lighting	Single demand charge
ITC	AUSPCCUST	Individual Network Tariff Calculation	Charges individually calculated for each customer

1.4. Proposed Network Tariff Rates for Period 4

The following table summarises the proposed Network Tariff rates for Period 4.

Table 2: Network Tariff Rates for Period 4

Network Tariff	Tariff Description	Daily Charge c/day	Metering Charge c/day (if applicable)	ToU Energy Rates c/kWh			Step Energy Rates c/kWh			Step Demand Rates c/kVA (kW)/day		Capacity Charges c/kVA/day	
				Peak	Shoulder	Off-Peak	Step 1	Step 2	Remaining	Step 1	Remaining	Specified	Excess
N01	General Network - Residential	36.567	7.993				11.870	10.980	10.683				
N02	General Network - Business	36.567	11.545				12.592		10.683				
N02a	General Network - Nursing	36.567	11.545				11.273		5.947				
N02b	General Network - Curtilage	7.313	11.545				12.592		10.683				
N03	LV kW Demand	196.300	14.687						2.728	57.272	51.622		
N05	Uncontrolled Energy	3.657	7.933						3.650				
N06	Controlled Energy	7.180	8.133						0.990				

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Network Tariff	Tariff Description	Daily Charge c/day	Metering Charge c/day (if applicable)	ToU Energy Rates c/kWh			Step Energy Rates c/kWh			Step Demand Rates c/kVA (kW)/day		Capacity Charges c/kVA/day	
				Peak	Shoulder	Off-Peak	Step 1	Step 2	Remaining	Step 1	Remaining	Specified	Excess
N06a	Controlled Energy	7.180	8.133						0.941				
N07	Small LV Unmetered	27.425							13.851				
N08	LV Irrigation (Day/Night)	175.721	14.349	12.592		0.990							
N08a	LV Irrigation (ToU)	158.830	14.688	12.592	7.941	0.965							
N09	LV kVA Demand	178.455	14.687						2.480	44.256	39.890		
N10	HV kVA Demand	122.244	63.800						1.439		24.023		
N10s	HV kVA Specified Demand	122.244		1.295	1.033	0.641						18.017	180.172
N11	HV kW Demand	134.468	63.800						1.582		31.089		
N13	LV PAYG	36.567							6.760				
N13b	LV ToU - Business	36.567	14.688	11.286	7.167	0.990							

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Network Tariff	Tariff Description	Daily Charge c/day	Metering Charge c/day (if applicable)	ToU Energy Rates c/kWh			Step Energy Rates c/kWh			Step Demand Rates c/kVA (kW)/day		Capacity Charges c/kVA/day	
				Peak	Shoulder	Off-Peak	Step 1	Step 2	Remaining	Step 1	Remaining	Specified	Excess
N13r	LV ToU - Residential	36.567	9.816	11.286	7.167	0.990							
N15	HV In Excess of 2MVa	16.550		1.295	0.351	0.045						8.527	42.635

2. Proposed Changes for Period 4

This section is to address Guideline 2.3(d)(9):

“A Network Tariff Pricing Proposal must...describe the nature and extent of and proposed changes from the previous period and demonstrate that the changes comply with these Guideline and the 2007 Determination...”

The following sections detail the changes that Aurora proposes to make to its suite of Network Tariffs for Period 4.

Aurora interprets the requirement to “demonstrate that the changes comply with these Guideline” to mean that details of the tariffs should be presented as outlined in Section 3 of this Pricing Proposal. Aurora submits that this is the case, with the tariffs presented in Section 3.

Aurora interprets the requirement to “demonstrate that the changes comply with...the 2007 Determination” to mean that Aurora must demonstrate that the new tariffs have been developed such that they comply with the Pricing Principles set out in the 2007 Determination. These principles, the meaning of compliance with them, and the methodologies applied to ascertain compliance, have been addressed in the NTS (Section 9). Their application to the changes to the proposed tariff suite is presented below.

Aurora has also consulted on the introduction of new tariffs and changes to existing tariffs via the previous release of two papers:

- Introduction of Time of Use and Specified Demand Network Tariff Charging Components Issues Paper (the Issues Paper); and
- Proposed Implementation Timetable for Time of Use Tariffs Position Paper (the Position Paper).

2.1. Proposed Changes for Period 4

Aurora proposes to make no changes to its suite of Network Tariffs for Period 4.

2.2. Compliance with the Pricing Principles

2.2.1. Postage Stamp Pricing

Network Tariff Pricing Principle (a) of Schedule 2 of the Determination requires that:

Network tariffs for small customers belonging to a particular class are to be uniform, regardless of where in mainland Tasmania the customer is supplied with electricity.

The Network Tariffs for all LV tariffs have been set to be uniform across the state. The only Network Tariffs that are not uniform are those for the largest HV customers or customers with specific connection characteristics that require an individual tariff calculation.

As an example the tariffs for Nursing Homes (N02a), Curtilage (N02b) and Aurora Pay As You Go (N13) are uniform across the state.

2.2.2. Bounded Revenues

Network Tariff Pricing Principle (b) of Schedule 2 of the Determination requires that:

For each Network Tariff class, the revenue expected to be recovered should lie on or between:

an upper bound representing the stand alone cost of serving the customers who belong to that class; and

a lower bound representing the avoidable cost of not serving those customers.

The meaning and methodology associated with this Principle is discussed in detail in Section 9.2 of the NTS. As an example the upper and lower bounds and the revenues recovered through the N02a and N02b tariffs are presented in Table 3. Inspection will show that the revenues expected to be recovered through the proposed tariffs lie between the prescribed upper and lower bounds.

Table 3: Assessment of Stand-Alone and Avoidable Costs against Forecast Tariff Revenue for Period 4

Tariff Class	Stand-Alone Cost (\$ million)	Expected Revenue (\$ million)	Avoidable Cost (\$ million)
N02b - General Network - Business less curtilage	260.53	3.71	0.00
N02a - General Network - Business Nursing Homes	260.53	2.73	0.00

A full listing of the bounded revenues can be found in Section 6.4.2

2.3. Charging Parameter Qualities

2.3.1. Tariffs and LRMC

Clause 2(c)(1) of Schedule 2 of the 2007 Determination requires that:

A Network Tariff, and if it consists of 2 or more charging parameters, each charging parameter for a tariff class must...take into account the long run marginal cost for the service, or in the case of a charging parameter, for the element of the service to which the charging parameter relates...

This clause is discussed in detail in Section 9.3.1 of the NTS. In line with that discussion, Aurora has structured the charging parameters to signal the impact that customers will have on the network, manage demand and volume variance risk, and avoid sending signals that could result in inefficient choices being made by customers of that tariff class. In this context:

- Aurora's fixed charge parameters for each tariff have been designed to recover the incremental costs that arise from the connection and management of the customer. This sends a signal to customers about the cost of their connection works and sets a constant and foreseeable price for those customers that assist them in making a decision to connect with full visibility of the costs. The fixed charges also provide Aurora with a fixed revenue source by which it can recover its costs and therefore ensure that upstream investment decisions can be made with clarity;
- Aurora Energy's volume charges are designed to recover the costs of the shared network on a basis which reflects the characteristics of the network user.

2.3.2. *Transaction Costs, Fixed/Variable Charges, NEM Costs and Signals*

Clause 2(c)(2) requires that

...a Network Tariff, and if it consists of 2 or more charging parameters, each charging parameter for a tariff class must be determined having regard to:

Transaction costs associated with the tariff or each charging parameter;

The observed proportion of fixed and variable charges applied in other NEM jurisdictions for similar services; and

The appropriate allocation of costs associated with Aurora's participation in the NEM and retail contestability between contestable and non-contestable customers; and

Whether customers of the relevant tariff class are able or likely to respond to price signals.

These requirements are discussed in detail in Section 9.3.2 of the NTS. Based on those discussions, Aurora wishes to make the following observations.

Aurora believes that it has met the transaction costs aspect of this principle because:

- The number and structure of its Network Tariffs have been established with reference to the transaction costs associated with that number and structure of tariffs. All of Aurora Energy's tariffs use standard usage and demand parameters which are readily measurable and provided by means of Aurora's existing metering and information systems; and
- The decision to introduce new Network Tariffs has been undertaken with reference to the transaction costs of abolishing or introducing these tariffs.

- Bearing in mind the comments on this issue in Section 9.3.2 of the NTS, it is not possible to compare the proportions of fixed and variable costs for these tariffs with analogous tariffs in mainland jurisdictions because there are no analogous tariffs in mainland jurisdictions. Moreover, the discounted fixed costs for the curtilage tariff N02b distorts the proportions.
- Aurora has however had regard to the large component of fixed costs that are borne by small consumption customers and has increased the fixed charges in most tariffs by CPI only. This decision does however come at a cost, and the variable component of all tariffs has increased by more than CPI to ensure an appropriate revenue recovery. Regard for the declining block nature of existing Aurora tariffs has also been a factor and Aurora has chosen to specifically increase the 'remaining' component of these tariff types by the largest amount to reflect the overall Australian and international push to send price signals that provide incentives to reduce network demand.
- In relation to the requirement that a Network Tariff have regard for the appropriate allocation of NEM/contestability costs between contestable and non-contestable customers, Aurora Energy notes that:
 - None of these costs have been allocated to non-contestable customers, in line with instructions received from the Regulator to this effect.
 - The ability of customers to respond to price signals should not be at question with the tariffs that Aurora has prepared for Period 4. Aurora has made newly introduced tariffs available to specific classes of customers because of their ability to respond to the pricing signals that are being provided. The likelihood of customers responding to those signals is, of course, a different matter. To ensure that customers respond appropriately to these new tariffs:
 - Aurora consulted with key stakeholders as part of the development of new tariffs;
 - feedback that has been received has been incorporated into the design of the new tariffs; and
 - prices have been set such that customers should see a discount by moving to the new tariff.

2.3.3. Requirement to Adjust Tariffs to Recover Revenue

Clause 2(d) of the Guideline requires that:

If, however, as a result of the operation of paragraph (c), the Distribution Network Service Provider may not recover the expected revenue, the provider must adjust its Network Tariffs so as to ensure recovery of expected revenue with minimum distortion to efficient patterns of consumption. Aurora believes that it has met the requirements of clause 2(c) of the Guideline and forecasts to recover its revenue requirement. As such, it has not found it necessary to apply the adjustment as required in clause 2(d).

3. Proposed Network Tariffs for Period 4

This section is to address the Guideline:

2.3(d)(1) “A Network Tariff Pricing Proposal must...set out the proposed Network Tariffs that are to apply for the relevant period...”;

2.3(d)(2): “A Network Tariff Pricing Proposal must...set out, for each proposed Network Tariff, the terms and conditions and the charging parameters and the elements of service to which each charging parameter relates...”;

2.3(d)(3): “A Network Tariff Pricing Proposal must...detail the bona fide forecast installation numbers and loads and the basis of that forecast for each proposed Network Tariff used in developing the Network Tariff Pricing Proposal...”;

2.3(d)(4): “A Network Tariff Pricing Proposal must...set out, for each proposed Network Tariff, the expected revenue for that Network Tariff for the relevant regulatory period and also for the current regulatory period;

2.3(d)(5): “A Network Tariff Pricing Proposal must...detail any proposed amendments, variations or adjustments to the Network Tariff proposed, the justification for the proposed amendments, variations or adjustments and whether these amendments, variations or adjustments are consistent with the Network Tariff Strategy...”;

2.3(d)(7): “A Network Tariff Pricing Proposal must...set out the nature of any proposed variation or adjustment to the Network Tariff that could occur during the subsequent periods and the basis on which it could occur...”

For simplicity, the Guideline is addressed by tariff class.

3.1. *LV General Network – Residential (N01)*

MSATS Code AURESGEN

3.1.1. *Terms and Conditions*

This tariff is for low voltage installations that are premises used wholly or principally as private residential dwellings. A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.).

Farm outbuildings may be connected on this tariff provided that the connection is through the meters for the farm residence.

A Type 6 meter is the minimum required for installations on this tariff.

3.1.2. *Rates*

Table 4: Proposed Tariff Rates and Charges for N01

N01	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	36.567	35.812	2.11%
First 500kWh per Quarter	8.146	7.648	6.51%
Next 1000kWh per Quarter	7.535	6.883	9.47%
Remaining Consumption	7.331	6.501	12.77%
TUoS Charge			
First 500kWh per Quarter	3.725	2.939	26.73%
Next 1000kWh per Quarter	3.445	2.645	30.26%
Remaining Consumption	3.352	2.498	34.19%
Meter Charge			
Daily Charge	7.993	7.671	4.20%
Total Charge (NUoS)			
Daily Charge	44.560	43.483	2.48%
First 500kWh per Quarter	11.870	10.587	12.12%
Next 1000kWh per Quarter	10.980	9.528	15.24%
Remaining Consumption	10.683	8.999	18.72%

3.1.3. *Estimated Volumes and Revenues*

Table 5: Forecast Installation Numbers, Loads and Revenues for N01

N01	Period 4	Period 3
Customer (installation) days in period	64,913,957	64,086,334
Forecast Loads		
First 500kWh per Quarter	308,735,270	300,749,631
Next 1000kWh per Quarter	327,490,906	319,873,419
Remaining Consumption	146,691,345	183,651,426
Expected Revenue		
Daily Charge	28,925,659	27,866,661
First 500kWh per Quarter	36,648,138	31,840,363
Next 1000kWh per Quarter	35,958,920	30,477,539
Remaining Consumption	15,671,576	16,526,792
Total Tariff Revenue	117,204,293	106,711,355

3.1.4. *Variations Since Period 3*

The tariff rates were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal. The extra increase in the third step of the consumption is part of the strategy to align the General Network Tariffs N01 and N02 (see Section 6.2 of the NTS for discussion on this point).

3.1.5. *Future Variations*

It is planned that the rates and charging elements of this Network Tariff and the General Network – Business tariff (N02) will be aligned between Period 2 and Period 5. This is in line with the NTS (see Section 6.2).

Aurora indicated that this tariff maybe made obsolete from 1 July 2010. As the residential Time of Use energy tariff (N13r) will only be introduced to all customers during Period 4, Aurora will not make a decision on the obsolescence of this tariff until a future period.

Aurora will consult with interested parties prior to making a final decision on the potential obsolescence of this tariff in future Periods.

3.2. General Network – Business (N02)

MSATS Code AUBLVGEN

3.2.1. Terms and Conditions

This is the basic, LV Network Tariff for installations that are not private residential dwellings. A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.)

A Type 6 meter is the minimum required for installations on this tariff.

3.2.2. Rates

Table 6: Proposed Tariff Rates and Charges for N02

N02 Tariff Charge	Period 4	Period 3	% Change
DUoS Charge			
Daily Charge	36.567	35.812	2.11%
First 500kWh per Quarter	8.422	8.175	3.02%
Remaining Consumption	7.331	6.501	12.77%
TUoS Charge			
First 500kWh per Quarter	4.170	3.291	26.72%
Remaining Consumption	3.352	2.498	34.19%
Meter Charge			
Daily Charge	11.545	11.105	3.96%
Total Charge (NUoS)			
Daily Charge	48.112	46.917	2.55%
First 500kWh per Quarter	12.592	11.466	9.82%
Remaining Consumption	10.683	8.999	18.72%

3.2.3. *Estimated Volumes and Revenues*

Table 7: Forecast Installation Numbers, Loads and Expected Revenue for N02

N02	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	13,122,136	13,265,803
Forecast Loads		
First 500kWh per Quarter	49,030,719	51,043,249
Remaining Consumption	741,756,129	744,676,757
Expected Revenue		
Daily Charge	6,313,322	6,223,917
First 500kWh per Quarter	6,174,018	5,852,619
Remaining Consumption	79,244,534	67,013,461
Total Tariff Revenue	91,731,874	79,089,997

3.2.4. *Variations Since Period 3*

The tariff rates were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal. The extra increase in the second step of the consumption is part of the strategy to align the General Network Tariffs N01 and N02 (see Section 6.2 of the NTS for discussion on this point).

3.2.5. *Future Variations*

It is planned that the rates and charging elements of this Network Tariff and the General Network – Residential tariff (N01) will be aligned between Period 2 and Period 5. This is in line with the NTS (see Section 6.2).

Aurora indicated that this tariff maybe made obsolete from 1 July 2010. As the residential Time of Use energy tariff (N13b) will only be introduced to all customers during Period 4, Aurora will not make a decision on the obsolescence of this tariff until a future period.

Aurora will consult with interested parties prior to making a final decision on the potential obsolescence of this tariff in future Periods.

3.3. ***LV General Network – Business - Nursing Homes (N02a) - Obsolete***

MSATS Code AUBLVNURSE

3.3.1. ***Terms and Conditions***

This LV Network Tariff is applicable only to those businesses registered as Aged Care facilities.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.).

A Type 6 meter is the minimum required for installations on this tariff.

This tariff is Obsolete, with no new connections allowed from 1 July 2008.

Please Note: Customers who choose to transfer off any one Obsolete tariff for an installation will lose all rights to all Obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available published tariffs.

3.3.2. ***Rates***

Table 8: Proposed Tariff Rates and Charges for N02a

NO2a	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	36.567	35.812	2.11%
First 500kWh per Quarter	8.286	7.664	8.12%
Remaining Consumption	3.729	3.449	8.12%
TUoS Charge			
First 500kWh per Quarter	2.987	2.763	8.11%
Remaining Consumption	2.218	2.052	8.11%
Meter Charge			
Daily Charge	11.545	11.105	3.96%
Total Charge (NUoS)			
Daily Charge	48.112	46.917	2.55%
First 500kWh per Quarter	11.273	10.427	8.11%
Remaining Consumption	5.947	5.501	8.12%

3.3.3. *Estimated Volumes and Revenues*

Table 9: Forecast Installation Numbers, Loads and Expected Revenues for N02a

N02a	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	31,887	17,103
Forecast Loads		
First 500kWh per Quarter	171,201	84,860
Remaining Consumption	45,308,707	27,723,782
Expected Revenue		
Daily Charge	15,342	8,024
First 500kWh per Quarter	19,300	8,848
Remaining Consumption	2,694,698	1,525,085
Total Tariff Revenue	2,729,339	1,541,958

3.3.4. *Variations Since Period 3*

The DUoS and TUoS components of this tariff were increased at a rate of 6% above the CPI increase of 2.11% between Period 3 and Period 4. These increases are in line with Section 6.6 of the NTS.

3.3.5. *Future Variations*

The 2005 Report indicated that Aurora intended to make this Network Tariff Obsolete by 2009, noting that: “Nursing homes generally use much of their energy during off-peak periods and may be better serviced by the Business ToU tariff.” To this end, with the approval of the Regulator in the 2003 Determination, Aurora began to align the N02a and N02 tariffs, by increasing the N02a tariff at a rate of CPI + 6% per annum. This is discussed further in Section 6.6 of the NTS.

Aurora introduced LV Time of Use (N13b) and LV Demand Tariffs (N09) (see the NTS Sections 6.3 & 6.4) in Period 3, which should provide attractive alternative tariffs for nursing home operators.

3.4. **LV General Network – Business - Same Curtilage (N02b) - Obsolete**

MSATS Code AUBLVCURT

3.4.1. **Terms and Conditions**

This tariff is for rural customers having a single LV connection point but requiring more than one meter due to site layout.

The single connection point must supply an installation qualifying for, and being supplied on the General Network - Residential tariff N01.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.)

This tariff is Obsolete, with no new connections allowed from 1 July 2008.

Please Note: Customers who choose to transfer off any one Obsolete tariff for an installation will lose all rights to all Obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available published tariffs.

A Type 6 meter is the minimum required for installations on this tariff.

3.4.2. **Rates**

Table 10: Proposed Tariff Rates and Charges for N02b

N02b	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	7.313	3.581	104.22%
First 500kWh per Quarter	8.422	8.175	3.02%
Remaining Consumption	7.331	6.501	12.77%
TUoS Charge			
First 500kWh per Quarter	4.170	3.291	26.72%
Remaining Consumption	3.352	2.498	34.19%
Meter Charge			
Daily Charge	11.545	11.105	3.96%
Total Charge (NUoS)			
Daily Charge	18.858	14.686	28.41%
First 500kWh per Quarter	12.592	11.466	9.82%
Remaining Consumption	10.683	8.999	18.72%

3.4.3. *Estimated Volumes and Revenues*

Table 11: Forecast Installation Numbers, Loads and Expected Revenues for N02b

N02b	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	2,916,259	1,496,135
Forecast Loads		
First 500kWh per Quarter	3,081,572	1,734,663
Remaining Consumption	25,981,684	14,742,424
Expected Revenue	0	0
Daily Charge	549,948	219,722
First 500kWh per Quarter	388,036	198,896
Remaining Consumption	2,775,719	1,326,671
Total	3,713,703	1,745,290

3.4.4. *Variations Since Period 3*

The rates for this tariff were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal. The daily charge for this tariff has been set at 20% of the charge for tariff N02, which is consistent with Section 6.7 of the NTS.

3.4.5. *Future Variations*

Aurora intends to phase out this tariff over 10 years, as discussed in Section 6.7 of the NTS. This is the third year in that process, with customers receiving an 80% discount on the daily charge.

3.5. *LV Aurora Pay As You Go (N13) - Obsolete*

MSATS Code AUPAYG

3.5.1. *Terms and Conditions*

This tariff supports the *Aurora Pay As You Go* product offered by Aurora Retail, and is not to be used for any other application.

This tariff is for low voltage installations that are premises used wholly or principally as private residential dwellings. A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.).

This tariff may not be used in conjunction with any other Network Tariff.

This tariff is Obsolete, with no new connections allowed from 1 July 2009.

Please Note: Customers who choose to transfer off any one Obsolete tariff for an installation will lose all rights to all Obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available published tariffs.

Metering for this tariff is provided by Aurora Retail.

3.5.2. *Rates*

Table 12: Proposed Tariff Rates and Charges for N13

N13	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	36.567	35.812	2.11%
All Energy	4.554	5.258	-13.39%
TUoS Charge			
All Energy	2.206	2.110	4.53%
Total Charge (NUoS)			
Daily Charge	36.567	35.812	2.11%
All Energy	6.760	7.368	-8.26%

3.5.3. *Estimated Volumes and Revenues*

Table 13: Forecast Installation Numbers, Loads and Revenues for N13

N13	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	14,673,000	16,375,611
Forecast Loads		
All Energy	385,308,425	435,369,838
Expected Revenue		
Daily Charge	5,365,476	5,864,434
All Energy	26,045,314	32,078,050
Total Tariff Revenue	31,410,790	37,942,483

3.5.4. *Variations Since Period 3*

The overall tariff escalation rates were varied as per the strategy presented in Section 5.1. The daily charge for this tariff has been aligned with tariff N01 as the connection characteristics of PAYG customers are consistent with all other residential customers.

The energy charge for this tariff has been set to better reflect the ToU characteristics of this tariff and to be consistent with the new ToU tariff N13r. This has meant that the energy charge for this tariff has decreased above the average for other tariffs.

This tariff has been made Obsolete with the introduction of the LV ToU Network Tariff (N13r) with no new connections from 1 July 2009.

3.5.5. *Future Variations*

This tariff will be deleted when sites that are metered with an Aurora Retail owned meter are below a manageable number for state-wide meter upgrades.

3.6. *LV General Residential Time of Use Tariff (N13r)*

MSATS Code: AURESTOU.

3.6.1. *Terms and Conditions*

This tariff is for low voltage installations that are premises used wholly or principally as private residential dwellings. A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

There are no restrictions on the use for the supply.

Note: Farm outbuildings may be connected on this tariff provided that the connection is through the meters for the farm residence.

A site that is supplied under this tariff may move to Network Tariff N01.

A meter capable of recording time of use data is required for installations on this tariff.

The Use of System charges applicable for this tariff are composed of the following charging components:

- a) DUOS
 - i) A fixed daily charge; and
 - ii) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 14.
- b) TUOS
 - i) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 14.
- c) Metering
 - i) A charge for the provision of metering services may apply, depending upon whether or not Aurora is appointed as Metering Provider.

For connection on this tariff, water heating systems:

- must comply with Australian Standard 1056, Storage Water Heaters; and
- should comply with approved Australian Standards AS 3500.4.1 - 1997 and 3500.4.2:1997, National Plumbing and Drainage Code, Part 4 Hot Water Supply Systems and all amendments; non-compliant systems may be refused connection or disconnected.

3.6.2. ToU Time Periods

Table 14: Time Periods for Residential ToU Tariff N13r

Time Period	Tariff Rate
Week Day (0700 – 1100) (Monday – Friday)	Peak
Week Day (1100 – 1630) (Monday – Friday)	Shoulder
Week Day (1630 – 2200) (Monday – Friday)	Peak
Weekend Day (0700 – 2200) (Saturday & Sunday)	Shoulder
Any Day (2200 – 0700) (Monday – Sunday)	Off-peak

3.6.3. Rates

Table 15: Proposed Tariff Rates and Charges for N13r

N13r	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	36.567	35.812	2.11%
Peak Energy	7.840	6.883	13.91%
Shoulder Energy	4.850	4.267	13.67%
Off-Peak Energy	0.365	0.343	6.38%
TUoS Charge			
Peak Energy	3.445	2.645	30.26%
Shoulder Energy	2.317	1.784	29.90%
Off-Peak Energy	0.625	0.494	26.60%
Meter Charge			
Daily Charge	9.816	9.556	2.72%
Total Charge (NUoS)			
Daily Charge	46.383	45.368	2.24%
Peak Energy	11.286	9.528	18.45%
Shoulder Energy	7.167	6.051	18.45%
Off-Peak Energy	0.990	0.837	18.32%

3.6.4. *Estimated Volumes and Revenues*

Table 16: Forecast Installation Numbers, Loads and Revenues for N13r

N13r	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	1,100,475	540,395
Forecast Loads		
Peak Energy	9,120,643	5,440,480
Shoulder Energy	7,320,693	5,010,332
Off-Peak Energy	7,672,668	3,916,393
Expected Revenue		
Daily Charge	510,433	245,166
Peak Energy	1,029,319	518,369
Shoulder Energy	524,709	303,175
Off-Peak Energy	75,983	32,780
Total Tariff Revenue	2,140,444	1,099,491

3.6.5. *Variations Since Period 3*

The tariff rates were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal.

This tariff is now available to all low voltage premises used wholly or principally as private residential dwellings.

3.6.6. *Future Variations*

Aside from variations due to allowable adjustments in AARR and rebalancing between revenues collected from each tariff class and between fixed and variable costs, no changes are planned to this tariff.

3.7. LV General Business Time of Use Tariff (N13b)

MSATS Code: AUBUSTOU

3.7.1. Terms and Conditions

This is the basic, time of use LV Network Tariff for installations that are not private residential dwellings. A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.)

A site that is supplied under this tariff may not move to Network Tariffs N02a or N02b.

A meter capable of recording time of use data is required for installations on this tariff.

The Use of System charges applicable for this tariff is composed of the following charging components:

- a) DUOS
 - i) A fixed daily charge; and
 - ii) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 17.
- b) TUOS
 - i) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 17.
- c) Metering
 - i) A charge for the provision of metering services may apply, depending upon whether or not Aurora is appointed as Metering Provider.

For connection on this tariff, water heating systems:

- must comply with Australian Standard 1056, Storage Water Heaters; and
- should comply with approved Australian Standards AS 3500.4.1 - 1997 and 3500.4.2:1997, National Plumbing and Drainage Code, Part 4 Hot Water Supply Systems and all amendments; non-compliant systems may be refused connection or disconnected.

3.7.2. ToU Time Periods

Table 17: Time Periods for General Business ToU Tariff

Time Period	Tariff Rate
Week Day (0700 – 2200) (Monday – Friday)	Peak
Weekend Day (0700 – 2200) (Saturday & Sunday)	Shoulder
Any Day (2200 – 0700) (Monday – Sunday)	Off-peak

3.7.3. Rates

Table 18: Proposed Tariff Rates and Charges for N13b

N13B	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	36.567	35.812	2%
Peak Energy	7.840	6.501	21%
Shoulder Energy	4.850	4.037	20%
Off-Peak Energy	0.365	0.343	6%
TUoS Charge			
Peak Energy	3.445	2.498	38%
Shoulder Energy	2.317	1.696	37%
Off-Peak Energy	0.625	0.494	27%
Meter Charge			
Daily Charge	14.688	14.189	4%
Total Charge (NUoS)			
Daily Charge	51.255	50.001	3%
Peak Energy	11.286	8.999	25%
Shoulder Energy	7.167	5.733	25%
Off-Peak Energy	0.990	0.837	18%

3.7.4. *Estimated Volumes and Revenues*

Table 19: Forecast Installation Numbers, Loads and Revenues for N13b

N13B	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	114,816	15,707
Forecast Loads		
Peak Energy	6,149,919	5,252,704
Shoulder Energy	6,710,394	9,673,086
Off-Peak Energy	9,243,398	12,882,852
Expected Revenue		
Daily Charge	58,849	7,853
Peak Energy	694,055	472,691
Shoulder Energy	480,966	554,558
Off-Peak Energy	91,538	107,829
Total Tariff Revenue	1,325,408	1,142,932

3.7.5. *Variations Since Period 3*

The tariff rates were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal.

This tariff is now available to all LV installations that are not private residential dwellings.

3.7.6. *Future Variations*

Aside from variations due to allowable adjustments in AARR and rebalancing between revenues collected from each tariff class and between fixed and variable costs, no changes are planned to this tariff.

3.8. *LV Uncontrolled Energy (N05)*

MSATS Code AUHEATUNCO

3.8.1. *Terms and Conditions*

3.8.1.1. *General Conditions*

This tariff is for low voltage installations.

In installations that are private residential dwellings, this tariff:

- is for water heating and/or residential space heating and/or domestic indoor pool heating only, and
- may only be used if the premises also has a current connection on tariff N01.

In installations that are not private residential dwellings, this tariff:

- is for water heating only, and
- may only be used if the premises also has a current connection on Network Tariff N02 or N02a.

With the exception of thermal-storage space heaters or thermal-storage water heaters, this tariff N05 may not be applied to any apparatus also connected under another Network Tariff.

A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

A Type 6 meter is the minimum required for installations on this tariff.

3.8.1.2. *Requirements of Water Heating Systems*

In installations that are private residential dwellings, for connection on this tariff, the water heating systems must:

- comply with Australian Standard 1056, Storage Water Heaters; and
- if the delivery rating of the water heating system is less than or equal to 500 litres, have an electric heating unit rating not exceeding 16 Watts per litre; or
- if the delivery rating of the water heating system is greater than 500 litres, have an electric heating unit rating not exceeding 32 Watts per litre.

Where a private residential installation has a water storage heater installed, and the delivery rating is greater than 20 litres but less than 100 litres, the limit of 16 Watts per litre may be exceeded by that individual water storage heater. Only one water storage unit, with a delivery rating between 20 and 100 litres that exceeds the 16 Watts per litre may be installed at a private residential dwelling.

In installations that are not private residential dwellings, for connection on this tariff, the water heating systems must:

- comply with Australian Standard 1056, Storage Water Heaters; and

- if the delivery rating of the water heating system is less than or equal to 500 litres, have an electric heating unit rating not exceeding 16 Watts per litre; or
- if the delivery rating of the water heating system is greater than 500 litres, have an electric heating unit rating not exceeding 32 Watts per litre.

Where a non-private residential installation has two or more water storage heaters installed, and the combined delivery rating is greater than 500 litres, the limit of 32 Watts per litre may be exceeded by an individual water storage heater provided that the ratio of the total wattage of all the water heating units to the total delivery rating does not exceed 32 Watts per litre.

Dairy water heaters containing main and booster heating units may have both heating units connected under this tariff.

Dairy water heaters are not required to comply with the Australian Standard 1056.

The electric heating unit ratings do not apply to Dairy water heaters.

3.8.1.3. Requirements of Residential Space Heating Systems

Permanently installed wired-in electric heater(s) may be eligible with this tariff on condition that the wiring of any electric heater is installed by a registered electrician in accordance with AS/NZS 3000 wiring rules and associated regulations and acts, and one of the following conditions are met:

- 1) If a residence has a permanently installed wired-in electric heater with an output of 3.5 kW in a living area, on a single functional switch then this, and any additional permanently wired space heaters throughout the residence, may be installed on this tariff.
- 2) A total rating of at least 5 kW of the same heating system installed throughout the residence. This heating system must be the priority heating system of the main living area and must have a single functional switch in each heated area throughout the residence. However where a ducted heating system is installed, the control switch must be located near the heating unit in order to qualify for this tariff.
- 3) Heating in secondary areas such as bedrooms and hallways if the residence has Off Peak storage heating in the living area(s) as its priority source of heating. The secondary heating system should be a permanently connected single propriety heating system with a total of 5 kW or more heating capacity.

3.8.1.4. Requirements of Domestic Indoor Pool Heating Systems

Private domestic indoor swimming pools are allowed under Tariff N05 if an installation:

- a. complies with the residential space heating system rules as provided above; and
- b. has an electrical input power limit of 400 watt/m² of surface area.

This tariff will be applied following an Electrical Works Request to Aurora from an electrical contractor. Upon receipt of the Electrical Works Request, the tariff will be applied to a customer's account from the date the meter was changed or the day after the last quarterly read, whichever is the later.

Spas are not eligible for Network Tariff N05

3.8.2. Rates

Table 20: Proposed Tariff Rates and Charges for N05

N05	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	3.657	3.581	2.11%
All Energy	1.433	1.345	6.53%
TUoS Charge			
All Energy	2.217	1.749	26.75%
Meter Charge			
Daily Charge	7.933	7.614	4.19%
Total Charge (NUoS)			
Daily Charge	11.590	11.195	3.53%
All Energy	3.650	3.094	17.96%

3.8.3. Estimated Volumes and Revenues

Table 21: Forecast Installation Numbers, Loads and Expected Revenues for N05

N05	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	60,700,965	60,147,303
Forecast Loads		
All Energy	876,689,330	866,711,228
Expected Revenue		
Daily Charge	7,035,060	6,733,491
All Energy	31,996,672	26,816,045
Total Tariff Revenue	39,031,732	33,549,536

3.8.4. Variations Since Period 3

The rates for this tariff were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.8.5. *Future Variations*

Aurora has introduced an LV ToU tariff for all customers. In due course, customers currently on N05 will be transferred to this new tariff, which will provide benefits to those customers who can manage their load. Network Tariff N05 may be made Obsolete in future Periods.

Aurora will consult with interested parties prior to making a final decision on the potential obsolescence of this tariff in future Periods.

3.9. Controlled Heating (N06)

MSATS Code AUHEATCONT

3.9.1. Terms and Conditions

3.9.1.1. General Conditions

This tariff is for low voltage installations.

In installations that are private residential dwellings, this tariff:

- is for water heating and/or residential space heating and/or other “wired in” appliances as approved by Aurora Network.
- may be used for heating swimming pools, including those that incorporate a spa. Note that an individual spa from which the water goes to waste after use may not be connected on this tariff.
- may only be used if the premises also has a current connection on tariff N01.

In installations that are not private residential dwellings, this tariff:

- is for water heating and/or space heating and/or other “wired in” appliances as approved by Aurora Network.
- may only be used if the premises also has a current connection on Network Tariff N02, N02a.

With the exception of thermal-storage space heaters or thermal-storage water heaters, this tariff N06 may not be applied to any apparatus also connected under another Network Tariff.

A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

In all installations, this tariff N06 may not be used for circuits supplying general purpose outlets, other than existing outlets supplied on this tariff.

A Type 6 meter is the minimum required for installations on this tariff.

3.9.1.2. Time of Use Availability

This tariff is a “time of use” tariff. Energy to installations connected on this tariff will be available daily for:

- at least nine hours between 20:00 hours and 07:00 hours the following day; and
- a further two hours between 13:00 hours and 16:30 hours.

Aurora Network will choose the actual times during these periods that the energy will be available.

3.9.1.3. Requirements of Water Heating Systems

In installations that are private residential dwellings, for connection on this tariff, the water heating systems:

- must comply with Australian Standard 1056, Storage Water Heaters; and

- should comply with approved Australian Standards AS 3500.4.1 - 1997 and 3500.4.2:1997, National Plumbing and Drainage Code, Part 4 Hot Water Supply Systems and all amendments; non-compliant systems may be refused connection or disconnected.

In installations that are not private residential dwellings, for connection on this tariff, the water heating systems:

- must comply with Australian Standard 1056, Storage Water Heaters; and
- should comply with approved Australian Standards AS 3500.4.1 - 1997 and 3500.4.2:1997, National Plumbing and Drainage Code, Part 4 Hot Water Supply Systems and all amendments; non-compliant systems may be refused connection or disconnected.

3.9.2. Rates

Table 22: Proposed Tariff Rates and Charges for N06

N06	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	7.180	7.032	2.11%
All Energy	0.365	0.343	6.38%
TUoS Charge			
All Energy	0.625	0.494	26.60%
Meter Charge			
Daily Charge	8.133	7.813	4.10%
Total Charge (NUoS)			
Daily Charge	15.313	14.845	3.15%
All Energy	0.990	0.837	18.32%

3.9.3. Estimated Volumes and Revenues**Table 23: Forecast Installation Numbers, Loads and Expected Revenues for N06**

N06	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	11,005,517	11,641,515
Forecast Loads		
All Energy	112,841,352	115,838,440
Expected Revenue		
Daily Charge	1,685,304	1,728,183
All Energy	1,117,471	969,568
Total Tariff Revenue	2,802,775	2,697,751

3.9.4. Variations Since Period 3

The rates for this tariff were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.9.5. Future Variations

Aurora has introduced an LV ToU tariff for all customers in Period 4. It is envisaged that customers currently on N06 will be transferred, in due course, to this new tariff, which will provide benefits to those customers who can manage their load. Network Tariff N06 will be made Obsolete after 1 July 2011.

Aurora will consult with interested parties prior to making a final decision on the potential obsolescence of this tariff in Period 5.

3.10. LV Controlled Heating (N06a)

MSATS Code AUOFFPEAK

3.10.1. Terms and Conditions

3.10.1.1. General Conditions

This tariff is for low voltage installations.

In installations that are private residential dwellings, this tariff:

- is for water heating and/or residential space heating and/or other circuits as approved by Aurora Network.
- may be used for heating swimming pools, including those that incorporate a spa. Note that an individual spa from which the water goes to waste after use may not be connected on this tariff.
- may only be used if the premises also has a current connection on tariff N01 or N13r.

In installations that are not private residential dwellings, this tariff:

- is for water heating and/or space heating and/or other circuits as approved by Aurora Network.
- may only be used if the premises also has a current connection on Network Tariff N02 or N13b.

A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

In all installations, this tariff N06a may be used for circuits supplying general purpose outlets.

A Type 6 meter is the minimum required for installations on this tariff.

3.10.1.2. Time of Use Availability

This tariff is a “time of use” tariff. Energy to installations connected on this tariff will be available between 22:00 hours and 07:00 hours the following day.

3.10.1.3. Requirements of Water Heating Systems

In installations that are private residential dwellings, for connection on this tariff, the water heating systems:

- must comply with Australian Standard 1056, Storage Water Heaters; and
- should comply with approved Australian Standards AS 3500.4.1 - 1997 and 3500.4.2:1997, National Plumbing and Drainage Code, Part 4 Hot Water Supply Systems and all amendments; non-compliant systems may be refused connection or disconnected.

In installations that are not private residential dwellings, for connection on this tariff, the water heating systems:

- must comply with Australian Standard 1056, Storage Water Heaters; and
- should comply with approved Australian Standards AS 3500.4.1 - 1997 and 3500.4.2:1997, National Plumbing and Drainage Code, Part 4 Hot Water Supply Systems and all amendments; non-compliant systems may be refused connection or disconnected.

3.10.2. Rates

Table 24: Proposed Tariff Rates and Charges for N06a

N06a	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	7.180	7.032	2.11%
All Energy	0.347	0.326	6.44%
TUoS Charge			
All Energy	0.594	0.469	26.65%
Meter Charge			
Daily Charge	8.133	7.813	4.10%
Total Charge (NUoS)			
Daily Charge	15.313	14.845	3.15%
All Energy	0.941	0.795	18.36%

3.10.3. Estimated Volumes and Revenues

Table 25: Forecast Installation Numbers, Loads and Expected Revenues for N06a

N06a	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	0	0
Forecast Loads		
All Energy	0	0
Expected Revenue		
Daily Charge	0	0
All Energy	0	0
Total Tariff Revenue	0	0

3.10.4. *Variations Since Period 3*

The rates for this tariff were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal. This tariff is also available to customers on Network Tariffs N01 and N02

3.10.5. *Future Variations*

Aside from variations due to allowable adjustments in AARR and rebalancing between revenues collected from each tariff class and between fixed and variable costs, no changes are planned to this tariff.

3.11. Demand – kW (N03) - Obsolete

MSATS Code AUBLVDMKW

3.11.1. Terms and Conditions

This tariff is for installations taking LV 3-phase supply.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.).

This tariff is Obsolete with no new connections allowed. The replacement LV demand tariff is N09.

Please note: that customers that choose to transfer off any one Obsolete tariff for an installation will lose all rights to all Obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available published tariffs.

A Type 6 meter is the minimum required for installations on this tariff.

3.11.2. Rates

Table 26: Proposed Tariff Rates and Charges for N03

N03	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	196.300	188.752	4.00%
All Energy Charge	1.765	1.628	8.42%
First 250kW Demand	30.933	28.515	8.48%
Additional Demand	27.885	25.704	8.49%
TUoS Charge			
All Energy Charge	0.963	0.746	29.09%
First 250kW Demand	26.339	20.406	29.07%
Additional Demand	23.737	18.389	29.08%
Meter Charge			
Daily Charge	14.687	14.188	3.52%
Total Charge (NUoS)			
Daily Charge	210.987	202.940	3.97%
All Energy Charge	2.728	2.374	14.91%
First 250kW Demand	57.272	48.921	17.07%
Additional Demand	51.622	44.093	17.08%

3.11.3. Estimated Volumes and Revenues**Table 27: Forecast Installation Numbers, Loads and Expected Revenue for N03**

N03	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	104,838	125,276
Forecast Loads		
All Energy	83,748,720	120,509,624
First 250kW Demand	3,580,329	8,350,013
Additional Demand	216,969	5,078,330
Expected Revenue		
Daily Charge	221,195	254,235
All Energy	2,284,665	2,860,898
First 250kW Demand	2,050,526	4,084,910
Additional Demand	112,004	2,239,188
Total Tariff Revenue	4,668,390	9,439,232

3.11.4. Variations Since Period 3

The rates for this tariff were varied in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.11.5. Future Variations

Aurora intends to transition all existing installations on this tariff to Network Tariff N09. This accords with the NTS (Section 6.4), and was proposed in the 2005 Report (Section 6.1). Aurora will work with affected customers to minimise the impacts due to transferral.

Network Tariff LV kW Demand N03 will be deleted from the suite of tariffs and consequently will not be available after 1 July 2012.

3.12. LV Metered Demand (kVA) Tariff (N09)

MSATS Code AUBLVDMKVA

3.12.1. Terms and Conditions

This tariff is only for installations taking LV 3-phase supply.

There are no restrictions on the use of the supply; that is, electricity taken on this tariff may be used for general power, heating, water heating, etc.

A Type 6 meter is the minimum required for installations on this tariff.

3.12.2. Rates**Table 28: Proposed Tariff Rates and Charges for N09**

N09	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	178.455	174.770	2.11%
All Energy Charge	1.605	1.507	6.49%
First 250kVA Demand	23.903	22.442	6.51%
Additional Demand	21.547	20.230	6.51%
TUoS Charge			
All Energy Charge	0.876	0.691	26.71%
First 250kVA Demand	20.353	16.060	26.73%
Additional Demand	18.342	14.473	26.73%
Meter Charge			
Daily Charge	14.687	14.188	3.52%
Total Charge (NUoS)			
Daily Charge	193.142	188.958	2.21%
All Energy Charge	2.480	2.198	12.85%
First 250kVA Demand	44.256	38.502	14.94%
Additional Demand	39.890	34.703	14.95%

3.12.3. *Estimated Volumes and Revenues*

Table 29: Forecast Installation Numbers, Loads and Expected Revenues for N09

N09	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	202,982	196,654
Forecast Loads		
All Energy	468,383,531	449,288,183
First 250kVA Demand	30,789,180	27,710,940
Additional Demand	15,333,379	14,485,814
Expected Revenue	P4 Tariff Charge	P3 Tariff Charge
Daily Charge	392,042	371,593
All Energy	11,617,568	9,875,354
First 250kVA Demand	13,626,010	10,669,266
Additional Demand	6,116,444	5,027,012
Total Tariff Revenue	31,752,064	25,943,226

3.12.4. *Variations Since Period 3*

The rates for this tariff were generally varied in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.12.5. *Future Variations*

Aside from variations due to allowable adjustments in AARR and rebalancing between revenues collected from each tariff class and between fixed and variable costs, no changes are planned to this tariff.

3.13. LV Day/Night (Irrigation) Tariff (N08) - Obsolete

MSATS Code AUIRRIG

3.13.1. Terms and Conditions

This Network Tariff is for primary producers' business installations that are used solely for the irrigation of crops, which must be classified as ANZSIC class 01.

A Type 6 meter is the minimum required for installations on this tariff.

This tariff is Obsolete; no new connections are allowed on this tariff after 1 July 2009.

Existing sites that are connected on Network Tariff N08 at 1 July 2009 may remain on that tariff.

Please note: Customers who choose to transfer off any one Obsolete tariff for and installation will lose all rights to all Obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available tariffs.

3.13.2. Time of Use Availability

This tariff is a simple "time of use" tariff, with different rates for "peak" and "off-peak" consumption.

The off-peak rate will be available daily for not less than ten hours between 20:00 hours and 07:00 hours the following day. In general, the "window" will be of 10 hour's duration. Subject to network constraints and at the discretion of Aurora, an 11 hour window may be available upon request.

To provide a "staggered start" to ensure distribution network stability, the off-peak window for individual customers will start between 20:00 and 21:00, and end between 06:00 and 07:00 the following day.

Aurora will arrange the start and finish times.

All times are in Australian Eastern Standard Time.

3.13.3. Rates

Table 30: Proposed Tariff Rates and Charges for N08

N08	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	175.721	172.092	2.11%
Day Energy Charge	8.422	8.175	3.02%
Night Energy Charge	0.365	0.343	6.38%
TUoS Charge			
Day Energy Charge	4.170	3.291	26.72%
Night Energy Charge	0.625	0.494	26.60%
Meter Charge			
Daily Charge	14.349	13.857	3.55%
Total Charge (NUoS)			
Daily Charge	190.070	185.949	2.22%
Day Energy Charge	12.592	11.466	9.82%
Night Energy Charge	0.990	0.837	18.32%

3.13.4. *Estimated Volumes and Revenues*

Table 31: Forecast Installation Numbers, Loads and Expected Revenues for N08

N08	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	1,127,928	1,121,736
Forecast Loads		
Day Energy	44,788,677	44,644,161
Night Energy	58,938,013	63,899,194
Expected Revenue		
Daily Charge	2,143,848	2,085,857
Day Energy	5,639,854	5,118,899
Night Energy	583,665	534,836
Total Tariff Revenue	8,367,367	7,739,593

3.13.5. *Variations Since Period 3*

The rates for this tariff were generally varied in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.13.6. *Future Variations*

Aurora has introduced an LV ToU Irrigation tariff (N08a) and other kVA demand tariffs from Period 3. These demand management incentive Network Tariffs will provide an attractive alternative to the current N08. The currently available LV Metered Demand (kVA) tariff N09 may also be a viable alternative to this tariff N08 depending upon individual user's usage patterns.

Network Tariff LV Day/Night (Irrigation) N08 will be deleted from the suite of tariffs and consequently will not be available after 1 July 2012.

3.14. *LV Time of Use Irrigation Tariff (N08a)*

MSATS Code: AUTOUIRR.

3.14.1. *Terms and Conditions*

This Network Tariff is for primary producers' business installations that are used solely for the irrigation of crops, which must be classified as ANZSIC class 01.

A meter capable of recording time of use data is required for installations on this tariff.

The Use of System charges applicable for this tariff is composed of the following charging components:

- a) DUOS
 - i) A fixed daily charge; and
 - ii) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 32.
- b) TUOS
 - i) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 32.
- c) Metering
 - i) A charge for the provision of metering services may apply, depending upon whether or not Aurora is appointed as Metering Provider

Table 32: Time Periods for Irrigation Tariff

Time Period	Summer (1 Oct - 31 Mar)	Winter (1 Apr - 30 Sep)
Week Day (0700 – 2200) (Monday – Friday)	Shoulder	Peak
Weekend Day (0700 – 2200) (Saturday & Sunday)	Off-peak	Shoulder
Any Day (2200 – 0700) (Monday – Sunday)	Off-peak	Off-peak

3.14.2. Rates

Table 33: Proposed Tariff Rates and Charges for N08a

N08a	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	158.830	155.550	2.11%
Peak Energy	8.422	8.175	3.02%
Shoulder Energy	5.199	5.042	3.11%
Off-Peak Energy	0.365	0.343	6.51%
TUoS Charge			
Peak Energy	4.170	3.291	26.72%
Shoulder Energy	2.742	2.162	26.83%
Off-Peak Energy	0.600	0.469	27.92%
Meter Charge			
Daily Charge	14.688	14.189	3.52%
Total Charge (NUoS)			
Daily Charge	173.518	169.739	2.23%
Peak Energy	12.592	11.466	9.82%
Shoulder Energy	7.941	7.204	10.23%
Off-Peak Energy	0.965	0.812	18.88%

3.14.3. Estimated Volumes and Revenues**Table 34: Forecast Installation Numbers, Loads and Revenues for N08a**

N08a	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	65,872	59,039
Forecast Loads		
Peak Energy	1,562,380	1,073,173
Shoulder Energy	2,348,406	1,902,949
Off-Peak Energy	3,155,419	2,736,686
Expected Revenue		
Daily Charge	114,299	100,212
Peak Energy	196,741	123,050
Shoulder Energy	186,475	137,088
Off-Peak Energy	30,404	22,222
Total Tariff Revenue	527,919	382,572

3.14.4. Variations Since Period 3

The rates for this tariff were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.14.5. Future Variations

Aside from variations due to allowable adjustments in AARR and rebalancing between revenues collected from each tariff class and between fixed and variable costs, no changes are planned to this tariff.

3.15. *LV Small Unmetered (N07)*

MSATS Code AUUMS

3.15.1. *Terms and Conditions*

This tariff is for small, LV, low demand installations with a relatively constant load profile. For example:

- illuminated street signs;
- public telephone kiosks;
- electric fences;
- two-way radio transmitters;
- fixed steady wattage installations;
- traffic lights; and
- level crossings.

All installations on this tariff must have all components permanently connected. For the avoidance of doubt, an installation containing a power point does not qualify for this Network Tariff.

Exception: Shows & public functions qualify for this tariff N07. Shows and public functions on this tariff may have installed power points.

3.15.2. *Rates*

Table 35: Proposed Tariff Rates and Charges for N07

N07	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	27.425	26.859	2.11%
All Energy Charge	9.264	11.589	-20.06%
TUoS Charge			
All Energy Charge	4.587	2.051	123.67%
Total Charge (NUoS)			
Daily Charge	27.425	26.859	2.11%
All Energy Charge	13.851	13.640	1.55%

3.15.3. Estimated Volumes and Revenues**Table 36: Forecast Installation Numbers, Loads and Expected Revenues for N07**

N07	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	531,114	388,695
Forecast Loads		
All Energy	7,762,213	431,713
Expected Revenue		
Daily Charge	145,659	104,400
All Energy	1,075,172	58,886
Total Tariff Revenue	1,220,830	163,285

3.15.4. Variations Since Period 3

The components within this tariff were varied with the strategy presented in Section 5.1 of this Pricing Proposal.

3.15.5. Future Variations

Aside from variations due to allowable adjustments in AARR and rebalancing between revenues collected from each tariff class and between fixed and variable costs, no changes are planned to this tariff.

3.16. HV Demand kW (N11) – Obsolete

MSATS Code AUBHVDMKW

3.16.1. Terms and Conditions

This tariff is for customers taking HV supply.

There are no restrictions on the use of the supply.

The customer must supply its own transformers & switchgear for installations connected on this tariff.

Metering of consumption is at the HV connection point.

This tariff is Obsolete; no new connections are allowed on this tariff.

Please note: Customers who choose to transfer off any one Obsolete tariff for an installation will lose all rights to all Obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available published tariffs.

3.16.2. Rates

Table 37: Proposed Tariff Rates and Charges for N11

N11	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	134.468	129.298	4.00%
All Energy Charge	0.110	0.102	7.77%
Demand Charge	28.450	26.226	8.48%
TUoS Charge			
All Energy Charge	1.473	1.140	29.17%
Demand Charge	2.638	2.044	29.07%
Meter Charge			
Daily Charge	63.800	61.394	3.92%
Total Charge (NUoS)			
Daily Charge	198.268	190.692	3.97%
All Energy Charge	1.582	1.242	27.41%
Demand Charge	31.089	28.270	9.97%

3.16.3. Estimated Volumes and Revenues**Table 38: Forecast Installation Numbers, Loads and Expected Revenues for N11**

N11	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	3,668	6,570
Forecast Loads		
All Energy	6,306,683	20,754,980
Demand	164,395	758,653
Expected Revenue		
Daily Charge	7,273	12,528
All Energy	99,802	257,777
Demand	51,108	214,471
Total Tariff Revenue	158,183	484,776

3.16.4. Variations Since Period 3

The rates for this tariff were varied in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.16.5. Future Variations

This tariff is Obsolete, as discussed in Sections 6.3 & 6.4 of the NTS.

Over the course of this Regulatory period, Aurora intends to transition installations on this tariff to the HV Specified Demand Tariff.

Network Tariff HV kW Demand (N11) will be deleted from the suite of tariffs and consequently will not be available after 1 July 2012.

3.17. HV Demand kVA (N10) - Obsolete

MSATS Code AUBHCDMKVA

3.17.1. Terms and Conditions

This tariff is for customers taking no HV single or dual phase supply.

There are no restrictions on the use of the supply; that is, the electricity may be used for general power, heating, water heating, etc.

The customer must supply its own transformers & switchgear for installations connected on this tariff.

Metering of consumption is at the HV connection point.

This tariff is Obsolete; no new connections are allowed on this tariff.

Please note: Customers who choose to transfer off any one Obsolete tariff for an installation will lose all rights to all Obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available tariffs.

3.17.2. Rates

Table 39: Proposed Tariff Rates and Charges for N10

N10	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	122.244	119.720	2.11%
All Energy Charge	0.100	0.094	6.31%
Demand Charge	21.984	20.641	6.51%
TUoS Charge			
All Energy Charge	1.339	1.056	26.77%
Demand Charge	2.039	1.609	26.70%
Meter Charge			
Daily Charge	63.800	61.394	3.92%
Total Charge (NUoS)			
Daily Charge	186.044	181.114	2.72%
All Energy Charge	1.439	1.150	25.10%
Demand Charge	24.023	22.250	7.97%

3.17.3. Estimated Volumes and Revenues**Table 40: Forecast Installation Numbers, Loads and Revenues for N10**

N10	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	26,045	24,861
Forecast Loads		
All Energy	163,282,649	188,953,152
Demand	11,721,896	18,586,022
Expected Revenue		
Daily Charge	48,454	45,026
All Energy	2,349,008	2,172,961
Demand	2,815,946	4,135,390
Total Tariff Revenue	5,213,409	6,353,377

3.17.4. Variations Since Period 3

The rates for this tariff were varied in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.17.5. Future Variations

This tariff is Obsolete as discussed in Sections 6.3 & 6.4 of the NTS. Aurora has introduced a new HV ToU (N10s) tariff, with a long-term aim of replacing this tariff. For more discussion of this, see Sections 6.3 & 6.4 of the NTS.

Network Tariff HV kVA Demand (N10) will be deleted from the suite of tariffs and consequently will not be available after 1 July 2012.

3.18. HV Specified Demand with Time of Use Tariff (N10s)

3.18.1. Terms and Conditions

MSATS Code: AUHVSPECDM.

This Network Tariff is applicable to all qualifying sites that are connected to the Aurora distribution network on or after 1 July 2009. Existing qualifying sites may transfer to this Network tariff on or after 1 July 2009.

A site qualifies for this Network Tariff if:

- connection is made to this site at HV; and
- the expected ATMD of the site is less than 2 MVA.

A site connected to the Aurora distribution network with this Network Tariff is not eligible for any other Network Tariff.

A meter capable of recording “interval data” is required for installations on this tariff.

The Use of System charges applicable for this tariff is composed of the following charging components:

- a) DUOS
 - i) A fixed daily charge; and
 - ii) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 41; and
 - iii) A demand-based charge calculated according to the method given in the General Terms and Conditions for Network Tariffs for the calculation of charges for Specified Demand tariffs. For the purposes of this calculation, the Excess Demand rate is ten times the Specified Demand rate.
- b) TUOS
 - i) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 41.
 - ii) A demand-based charge calculated according to the method given in the General Terms and Conditions for Network Tariffs for the calculation of charges for Specified Demand tariffs. For the purposes of this calculation, the Excess Demand rate is ten times the Specified Demand rate.
- c) Metering
 - i) A charge for the provision of metering services may apply, depending upon whether or not Aurora is appointed as Metering Provider.

Table 41: Time Periods within Specified Demand Tariffs

Time Period	Summer (1 Oct - 31 Mar)	Winter (1 Apr - 30 Sep)
Week Day (0700 – 2200) (Monday – Friday)	Shoulder	Peak
Weekend Day (0700 – 2200) (Saturday & Sunday)	Off-peak	Shoulder
Any Day (2200 – 0700) (Monday – Sunday)	Off-peak	Off-peak

3.18.2. Rates

Table 42: Proposed Tariff Rates and Charges for N10s

N10s	Period 4	Period 3	% Change P4
DUoS Charge			
Daily Charge	122.244	119.720	2.11%
Peak Energy	0.090	0.085	5.81%
Shoulder Energy	0.072	0.068	5.88%
Off-Peak Energy	0.045	0.042	6.81%
Specified Daily Demand Charge	16.488	15.480	6.51%
Excess Demand Charge	164.883	154.800	6.51%
TUoS Charge			
Peak Energy	1.205	0.951	26.73%
Shoulder Energy	0.961	0.759	26.61%
Off-Peak Energy	0.596	0.470	26.73%
Specified Daily Demand Charge	1.529	1.206	26.78%
Excess Demand Charge	15.290	12.060	26.78%
Meter Charge			
Daily Charge	0.000	0.000	0.000
Total Charge (NUoS)			
Daily Charge	122.244	119.720	2.11%
Peak Energy	1.295	1.036	25.02%
Shoulder Energy	1.033	0.827	24.91%
Off-Peak Energy	0.641	0.512	25.10%
Specified Daily Demand Charge	18.017	16.686	7.98%
Excess Demand Charge	180.172	166.860	7.98%

3.18.3. Estimated Volumes and Revenues**Table 43: Forecast Installation Numbers, Loads and Expected Revenues for N10s**

N10s	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	367	1,825
Forecast Loads		
Peak Energy	17,637,712	6,060,023
Shoulder Energy	19,245,134	11,159,798
Off-Peak Energy	26,509,682	14,862,893
Specified Daily Demand Charge	9,156,463	1,820,417
Excess Demand Charge	0	0
Expected Revenue		
Daily Charge	448	2,185
Peak Energy	228,449	62,782
Shoulder Energy	198,802	92,292
Off-Peak Energy	169,796	76,098
Specified Daily Demand Charge	1,649,740	303,755
Excess Demand Charge	0	0
Total Tariff Revenue	2,247,236	537,111

3.18.4. Variations Since Period 3

The rates for this tariff were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.18.5. Future Variations

Aside from variations due to allowable adjustments in AARR and rebalancing between revenues collected from each tariff class and between fixed and variable costs, no changes are planned to this tariff.

3.19. HV Specified Demand, > 2MVA (N15)

MSATS Code AUCHVDM2

3.19.1. Terms and Conditions

This tariff applies to contestable customers, with a demand in excess of 2 MVA, supplied directly from the Aurora distribution network, with no Aurora Network-owned assets beyond the connection point.

The customer must supply its own transformers & switchgear for installations connected on this tariff.

Metering of consumption is at the HV connection point.

3.19.2. Negotiation of “Specified Demand”

Customers on Network Tariff N15 are able to agree with Aurora a “Specified Demand” for their electrical installation.

Once agreed this value is used in the calculation of NUoS charges for the following period of no less than twelve months.

Negotiation of “Specified Demand” for subsequent periods should be completed at least two months prior to the end of the last negotiated period.

Renegotiation of specified demand is limited to one occurrence each twelve months or as otherwise agreed with Aurora.

3.19.3. Rates

Table 44: Proposed Tariff Rates and Charges for N015

N15	Period 4	Period 3	% Change P4
DUoS			
Daily Charge	16.550	16.208	2.11%
Specified Daily Demand Charge	8.228	7.725	6.52%
Excess Demand Charge	41.141	38.625	6.52%
Peak Energy	1.295	1.216	6.52%
Shoulder Energy	0.351	0.329	6.64%
Off-Peak Energy	0.045	0.042	6.81%
Connection			
Specified Demand Charge	0.299	0.280	6.66%
Excess Demand Charge	1.493	1.400	6.66%
Meter Charge (if applicable)			
Daily Charge	0.000	0.000	0.000
Transmission Charge			
Specified Daily Demand Charge	NA	NA	NA
Excess Demand Charge	NA	NA	NA
Peak Energy	NA	NA	NA
Shoulder Energy	NA	NA	NA
Off-Peak Energy	NA	NA	NA

3.19.4. Estimated Volumes and Revenues

Table 45: Forecast Installations, Loads and Revenues for Tariff N15

N15	Period 4	Period 3
Forecast Installation Numbers		
Customer (installation) days in period	7,337	8,679
Forecast Loads		
Specified Daily Demand Charge	21,333,512	22,494,482
Excess Demand Charge	104,359	24,493
Peak Energy	65,692,572	37,957,798
Shoulder Energy	71,679,496	69,900,954
Off-Peak Energy	98,736,682	93,095,803
DUoS & Connection Expected Revenue		
Daily charge	121,419	140,667
Peak Energy	850,881	461,567
Shoulder Energy	251,483	229,974
Off-Peak Energy	44,295	39,100
Specified Daily Demand Charge	1,819,094	1,800,683
Excess Demand Charge	44,493	9,803
Meter Revenue (if applicable)		
Daily Charge	0	0
Total Tariff Revenue	3,131,666	2,681,795

3.19.5. Variations Since Period 3

The rates for this tariff were varied in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.19.6. Future Variations

Aside from variations due to allowable adjustments in AARR and rebalancing between revenues collected from each tariff class and between fixed and variable costs, no changes are planned to this tariff.

3.20. HV ITC Tariff

Individual Tariff Calculation Customer (ITC) network prices will typically apply to customers with an electrical demand in excess of 2.0 MVA, or where a customer's circumstances in a pricing zone identify the average shared network charge to be meaningless or distorted. Individually calculated customer network charges are determined by modelling the connection point requirements as requested by the customer or their agents.

ITC prices are based on actual Transmission Use of System (TUoS) charges for the relevant transmission connection point, plus charges associated with the actual shared distribution network utilised for the electricity supply, plus connection charges based on the actual connection assets utilised. This provides the greatest cost reflectivity for this type of customer and is feasible since the number of such customers is relatively small.

3.20.1. Terms and Conditions

Terms and conditions for these customers are contained within individually negotiated connection agreements.

3.20.2. Rates

Being negotiated between Aurora and individual customers, these are considered by Aurora to be "Commercial in Confidence". They are supplied to the Regulator in a separate attachment.

3.20.3. Variations

Any variations to customers on this tariff are the subject of individual negotiation.

3.20.4. Future Variations

Any variations to customers on this tariff are the subject of individual negotiation.

3.21. Street Lighting (N20)

3.21.1. Terms and Conditions

This tariff is available to councils and road authorities.

There are no energy charges.

This tariff does not include charges for the installation and/or replacement of lamps. Costs for installation or replacement of lamps are an additional charge. These charges are included in the final street lighting tariff.

3.21.2. Rates

Table 46: Proposed Tariff Rates and Charges for N20

N20	Period 4	Period 3	% Change P4
DUoS Charge			
Demand Charge	0.079	0.074	6.78%
TUoS Charge			
Demand Charge	0.035	0.027	28.14%
Total Charge (NUoS)			
Demand Charge	0.114	0.101	12.49%

3.21.3. Estimated Volumes and Revenues

Table 47: Forecast Installation Numbers and Revenues

N20	Period 4	Period 3
Forecast Installation Numbers		
Forecast total lamp wattage	2,043,933,231	2,024,853,697
Expected Revenue		
Demand charge	2,322,230	2,045,102

Note: Does not include charges for light fitting. These are contained in a separate charge for street lighting.

3.21.4. Variations Since Period 3

The rates for this tariff were varied in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.21.5. Future Variations

Aside from variations due to allowable adjustments in AARR and rebalancing between revenues collected from each tariff class and between fixed and variable costs, no changes are planned to this tariff.

3.22. Standard Transmission Charges

A number of customers, or groups of customers, may have a specially calculated tariff. As part of this tariff there will be a pass-through of the transmission charges arising from each customer's share of the load on the transmission system. These nodal connection charges are based upon demand, and vary according to the Transend terminal substation to which the customer is connected.

As discussed in Section 4.2 Aurora has estimated that transmission charges will increase by 29.06% for the 2010/11 financial year. Transend will not set charges for the provision of transmission services until 15 May 2010. Aurora has therefore shown the transmission charges that applied for the 2009/10 year for reference only. Aurora will release its 2010/11 transmission prices when they are available from Transend.

Table 48: Schedule of Transmission Charges 2009/10

Connection Site	TNI	Monthly Common Service Charge (\$/MVA)	Monthly TUoS Usage Charge (\$/MVA)	Monthly Exit Charge (\$/MVA)	Total Monthly Charge (\$/MVA)	Daily Charge (\$/MVA)	Daily Charge (c/kVA) 09/10
Arthurs Lake	TAL2	903.90	1,946.86	2,385.55	6,577.66	216.25	21.6252
Avoca	TAV2	1,195.26	2,155.01	2,372.46	7,496.42	246.46	24.6458
Bridgewater	TBW2	1,065.51	1,303.32	1,137.76	5,087.76	167.27	16.7269
Burnie	TBU3	1,195.26	1,352.88	619.98	4,941.81	162.47	16.2471
Derby	TDE2	828.11	5,032.04	5,242.36	12,331.40	405.42	40.5416
Derwent Bridge	TDB2	556.39	906.08	46,827.85	49,115.97	1,614.77	161.4772
Devonport	TDP2	1,195.26	1,628.17	1,007.40	5,604.53	184.26	18.4259
Electrona	TEL2	1,063.02	2,935.20	978.51	6,554.20	215.48	21.5481
Emu Bay	TEB2	996.05	1,054.10	1,507.05	5,035.28	165.54	16.5543
Kermandie	TKE2	1,195.26	2,853.05	5,225.42	11,047.42	363.20	36.3203
Kingston	TKI2	953.93	1,615.16	788.34	4,773.02	156.92	15.6921
Knights Rd	TKR2	1,195.26	2,189.95	1,622.49	6,781.39	222.95	22.2950
Meadowbank	TMB2	1,076.85	993.27	2,161.18	5,829.29	191.65	19.1648
New Norfolk	TNN2	1,195.26	1,556.96	1,475.05	6,000.96	197.29	19.7292
Newton	TNT2	1,045.85	4,279.66	3,059.67	9,937.17	326.70	32.6702
Palmerston	TPM3	1,303.92	872.13	2,750.83	6,861.81	225.59	22.5594
Port Latta	TPL2	1,124.39	2,539.88	1,628.19	6,960.98	228.85	22.8854

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Connection Site	TNI	Monthly Common Service Charge (\$/MVA)	Monthly TUoS Usage Charge (\$/MVA)	Monthly Exit Charge (\$/MVA)	Total Monthly Charge (\$/MVA)	Daily Charge (\$/MVA)	Daily Charge (c/kVA) 09/10
Queenstown	TQT2	1,195.26	1,902.39	3,781.62	8,652.96	284.48	28.4481
Railton	TRA2	1,106.72	1,151.60	1,014.41	4,915.04	161.59	16.1590
Rosebery	TRB2	956.21	750.56	2,633.94	5,759.66	189.36	18.9359
Savage River	TSR2	909.25	1,722.42	1,441.50	5,422.44	178.27	17.8272
Scottsdale	TSD2	1,195.26	4,267.05	4,617.34	11,853.34	389.70	38.9699
Smithton	TST2	1,145.45	3,499.44	1,068.16	7,412.85	243.71	24.3710
Sorell	TSO2	1,187.82	2,200.36	1,222.24	6,373.08	209.53	20.9526
St Marys	TSM2	1,042.10	2,141.69	2,515.77	7,245.98	238.22	23.8224
Triabunna	TTB2	1,195.26	2,203.56	5,376.08	10,548.60	346.80	34.6803
Tungatinah	TTU2	1,187.71	740.35	19,843.12	23,533.69	773.71	77.3710
Ulverstone	TUL2	1,195.26	1,530.59	909.86	5,409.40	177.84	17.7843
Waddamana	TWA2	573.42	353.96	6,846.73	8,625.03	283.56	28.3562
Wesley Vale	TWV2	682.07	1,098.63	1,650.06	4,442.91	146.07	14.6068
Hobart Virtual	TVN1	1,040.28	1,476.05	827.85	4,887.91	160.70	16.0698
Tamar Virtual	TVN2	1,023.69	985.45	878.65	4,406.88	144.88	14.488

Virtual transmission nodes have been developed for Hobart and Launceston due to the high level of inter-connectability of the transmission connection sites and the regular need to transfer loads within the distribution network.

Hobart (Virtual) is based on the following connection sites: Chapel St, Creek Rd, Lindisfarne, Nth Hobart, Risdon and Rokeby. Launceston (Virtual) is based on the Norwood, Trevallyn, Hadspen and George Town connection sites.

3.23. General Network Terms and Conditions

These General Network Terms and Conditions are applicable to all Network Tariffs.

3.23.1. Times

All times are given as Australian Eastern Standard Time.

3.23.2. Changes of Tariff

Customers seeking tariff reassignment must remain on the reassigned tariff for a minimum twelve (12) month period unless otherwise agreed with Aurora.

3.23.3. Aurora's Obligation to Supply

Under Section 26(2) of the ESI Act, Aurora is not obliged to supply electricity to a customer if:

- a) the supply would overload the power system or prejudice in some other way the supply of electricity to other customers; or
- b) the supply would result in contravention of the conditions of the electricity entity's licence; or
- c) the supply would result in risk of fire or some other risk to life or property; or
- d) the supply is or needs to be interrupted –
 - i) in an emergency; or
 - ii) in circumstances beyond the electricity entity's control; or
 - iii) for carrying out work on electricity infrastructure; or
 - iv) to comply with a direction to the electricity entity under the ESI Act; or
- e) the electricity entity is exempted from the obligation by regulation.

3.23.4. Customers' General Obligations

Aurora is obliged to place the following conditions upon customers under the TEC.

3.23.4.1. Use of Electricity

A Customer must not allow a supply of electricity to its electrical installation to be used other than at the Customer's premises nor will the Customer supply electricity so supplied to any other person without the prior approval of Aurora. [TEC 8.6.2(a)(1)]

A Customer must not take electricity supplied to another Customer's electrical installation by Aurora at the Customer's premises. [TEC 8.6.2(a)(8)]

3.23.4.2. Maintenance of Customers' Installations

A Customer must at its own expense, maintain the Customer's electrical installation in a safe condition to the satisfaction of its Distribution Network Service Provider [Aurora] or other relevant authority. [TEC 8.6.2(a)(5)]

3.23.4.3. Operation of Customers' Installation

A Customer must ensure that the Customer's electrical installation and any equipment within it (including protective equipment) are adequate, and effectively co-ordinated at all times with the electrical characteristics of Aurora's distribution system. [TEC 8.6.2(a)(6)]

A Customer must use the electricity supplied to its electrical installation in a manner, which in the opinion of Aurora, does not interfere with the supply of electricity to other Customers' electrical installations or cause damage or interference to any third party. [TEC 8.6.2(a)(7)]

3.23.4.4. Protection of Aurora Assets

A Customer must not interfere or allow interference with any equipment of its Distribution Network Service Provider [Aurora] which is on the Customer's premises except as may be permitted by law. [TEC 8.6.2(a)(2)]

A Customer must provide and maintain on the Customer's premises any reasonable or agreed facility required by Aurora to protect any equipment of the Distribution Network Service Provider [Aurora]. [TEC 8.6.2(a)(4)]

3.23.4.5. Access

A Customer must at all times, make available to Aurora's officers or agents, together with their equipment, a safe, convenient and unhindered access to the equipment of the Distribution Network Service Provider [Aurora] on the Customer's premises for any purposes associated with the supply, metering or billing of electricity or the inspection and/or testing of the Customer's electrical installation, provided that official identification is produced by the officers or agents on request. The Customer must provide protective equipment to officers or agents of Aurora if that is necessary to ensure safe access to the Customer's premises. [TEC 8.6.2(a)(3)]

3.23.4.6. Compulsory Provision of Land

A Customer must if, in respect of an electrical installation, it has a maximum demand over 100 kVA must, if Aurora is unable to continue to satisfy that maximum demand without installing a new substation, sell or lease to Aurora the land upon which a new substation can be installed by Aurora in order to allow Aurora to satisfy that maximum demand. [TEC 8.6.2(b)]

3.23.4.7. Power Factor

A Customer must (unless otherwise agreed with its Distribution Network Service Provider) at all times keep the power factor of its electrical installation within the relevant range set out in Table 49. [TEC 8.6.3(a)]

Table 49: Power Factor Ranges

Supply Voltage (kV)	Power Factor range for Customer maximum demand and voltage					
	Up to 100 kVA		Over 100 kVA, less than 2 MVA		Over 2 MVA	
	Minimum Lagging	Minimum Leading	Minimum Lagging	Minimum Leading	Minimum Lagging	Minimum Leading
<1	0.75	0.80	0.80	0.80	0.85	0.85
1 - 6.6	0.75	0.80	0.80	0.80	0.90	0.90
6.6, 11, 22	0.80	0.80	0.85	0.85	0.90	0.90
33, 44, 66	0.85	0.85	0.90	0.90	0.95	0.95

3.23.4.8. Voltage Fluctuations

A Customer must ensure that the customer's equipment does not cause voltage fluctuations at the point of common coupling greater than the levels specified in AS/NZ 61000.3.5:1998 and AS/NZ 61000.3.7:2001 as appropriate. [TEC 8.6.9]

If two or more Customers' electrical installations are connected at the same point of common coupling, the maximum permissible contribution to voltage fluctuations allowable from each Customer is to be determined in proportion to their respective maximum demand, unless otherwise agreed. [TEC 8.6.9]

3.23.4.9. Provision of Planning Information

[TEC 8.8(a)] A Customer must supply, if requested, to Aurora or the Electricity Retailer as the case may be, details of loads connected or planned to be connected to Aurora's distribution system which Aurora requires for the purpose of planning its distribution system, including:

- (1) the location of the load in the distribution system;
- (2) existing loads;
- (3) existing load profile;
- (4) changes in load scheduling;
- (5) planned outages;
- (6) forecasts of load growth;
- (7) anticipated new loads;
- (8) anticipated redundant loads; and
- (9) the nature of any disturbing loads.

3.23.4.10. Vegetation Management

A Customer must, at its own expense, maintain safe clearances between vegetation on the Customer's property and electrical infrastructure providing supply to the Customer's electrical installation. [TEC 8.6.2(a)(9)]

3.23.5. Fallback

In the event that a customer is moved onto a Fallback Contract, the Network Tariff(s) for that customer's installation(s) affected by the move remain(s) unchanged.

3.24. Demand Tariffs

3.24.1. Reassignment of Network Tariffs due to Increases in Electrical Demand

Where a customer requires a change in Network Tariff due to an increase in electrical demand at a connection point, the customer must submit a written request to Aurora Energy.

The increased level of electrical demand shall apply from the requested date or as near as possible thereafter, subject to any required works being completed by Aurora Energy.

Exceptions will only be made at Aurora Network's discretion where it can be demonstrated that to not do so would result in unreasonable penalties or impose hardship on the customer.

Note: this condition prevents customers from changing tariffs to take advantage of seasonal variations in prices according to their individual load; thereby bypassing payment that reflects use of the distribution network over a full twelve (12) month cycle.

3.24.2. Reassignment of Network Tariffs due to Temporary Increases in Maximum Demand

Temporary increases in electrical demand will:

- be subject to negotiation and approval by Aurora Energy;
- be defined in terms of "additional demand" for a specific period and charged at an agreed Demand Charge rate;
- apply for one full billing period, except in the case of commissioning of new plant, in which case the duration of the temporary increase may be extended for the duration of the commissioning period; and
- be limited to one occurrence each twelve months or as otherwise agreed with Aurora Energy.

3.24.3. Reassignment of Network Tariffs due to Reductions in Maximum Demand

Where a customer requires a change in Network Tariff due to a reduction in electrical demand at their connection point, the customer must provide six months written advice to Aurora Energy detailing their new requirement.

Aurora Energy will notify the customer in writing within sixty days of receipt of the written advice, advising the revised NUoS charges and also any costs associated with the relocation of Aurora's assets at their site.

Following the installation by a customer of load management equipment approved by Aurora Energy or the implementation of a demand management initiative approved by Aurora Energy, the six month notice period referred to above may be reduced at the discretion of Aurora Energy.

Customers seeking tariff reassignment must remain on the reassigned tariff for a minimum twelve (12) month period.

Exceptions will only be made at Aurora Network's discretion where it can be demonstrated that to not do so would result in unreasonable penalties or impose hardship on the customer.

Note: this condition prevents customers from changing tariffs to take advantage of seasonal variations in prices according to their individual load; thereby bypassing payment that reflects use of the distribution network over a full twelve (12) month cycle.

3.24.4. Calculation of Maximum Demand

Any tariff charges based upon the maximum demand of an installation are calculated using the maximum demand for the installation during the billing period. The maximum demand of an installation during a billing period is taken to be the largest value of the electrical demand for that installation during that billing period. The electrical demand of an installation for a "Demand Integration Period" is taken to be the energy consumption of that installation during the "Demand Integration Period" divided by the length of the "Demand Integration Period" measured in hours. Currently, the Demand Integration Period is 15 minutes.

3.24.5. Calculation of NUoS Charges for Specified Demand Tariffs

In this section, "Nominated Demand" means the value of electrical demand of the site to which the Specified Demand Network Tariff applies as nominated by the operator of that site to Aurora.

3.24.5.1. Network Tariff N15

The demand-based charges for an installation on the Network Tariff N15 would be calculated monthly as follows:

- a) the monthly demand-based charge is the sum of the daily demand-based charges for the month;
- b) the daily demand-based charges are:
 - (i) if any daily ATMD in the month is less than or equal to 100% of the Nominated Demand, the demand charge for the day will be equal to the specified demand multiplied by the specified demand rate; or
 - (ii) if any daily maximum demand in the month is greater than the Nominated Demand, the daily demand charge will be the sum of:

- the specified demand multiplied by the specified demand rate; and
 - the difference between the maximum demand and the specified demand multiplied by the excess demand rate;
- (iii) the excess demand rate is five times the specified demand rate.

3.24.5.2. Network Tariffs other than N15

The demand-based charges for an installation on a Specified Demand Network Tariff other than N15 would be calculated monthly as follows:

- a) the monthly demand-based charge is the sum of the daily demand-based charges for the month;
- b) the daily demand-based charges are:
 - (i) if any daily ATMD in the month is less than or equal to 100% of the Nominated Demand, the demand charge for the day will be equal to the specified demand multiplied by the specified demand rate; or
 - (ii) if the daily ATMD is greater than the Nominated Demand, but not greater than 120% of the Nominated Demand, then the demand charge for the day will be the maximum demand multiplied by the specified demand rate; or
 - (iii) if any daily maximum demand in the month is greater than the Nominated Demand by 120%, the daily demand charge will be the sum of:
 - 120% of the specified demand multiplied by the specified demand rate; and
 - the difference between the maximum demand and 120% of the specified demand multiplied by the excess demand rate;
 - (iv) the excess demand rate is ten times the specified demand rate.

4. Adjustment Variables

This section is to address:

Guideline 2.3(d)(6):

“A Network Tariff Pricing Proposal must...provide details of adjustment variables, including CPI, pass-through and other adjustments permissible under the 2007 Determination and transmission charges attributable to distribution connected customers for the period and an explanation of how each Network Tariff will be affected by the impact of the adjustment or adjustments...”

Guideline 2.3(d)(9):

“A Network Tariff Pricing Proposal must...describe the nature and extent of and proposed changes from the previous period and demonstrate that the changes comply with these Guideline and the 2007 Determination;”

The following sections detail the changes to the adjustment variables allowed in the 2007 Determination.

4.1. AARR Calculation Equation Variables

4.1.1. CPI Adjustments

The Regulator permits Aurora's AARR to be indexed according to CPI in two ways: the inflation of the forecast maximum revenues, which were given in July 2006 dollars, by a Prescribed Inflationary Factor; and the inflation of adjustments from previous periods.

4.1.2. Prescribed Inflationary Factor

The value for the Prescribed Inflationary Factor is given in Section 3 of the Determination.

The CPI value for the quarter ending on 30 June 2006 was 154.3.

The CPI value for the quarter ending on 31 December 2009 was 169.5.

4.1.3. Inflation from Previous Periods

The Determination defines the quantity CPI_y as “the CPI for the quarter ending 6 months prior to the commencement of the period in question. Thus CPI_4 will be the CPI for the December quarter 2009.”

In calculating the AARR, the determination prescribes the use of the values CPI_y , CPI_{y-1} , CPI_{y-2} and CPI_{y-3} . For this Period 4, therefore, we need values for CPI_3 , CPI_2 , CPI_1 and CPI_0 . Using the definition:

CPI_4 will be the CPI for the December quarter of 2009, since P_4 begins on 1 July 2010;

CPI_3 will be the CPI for the December quarter of 2008, since P_3 begins on 1 July 2009;

CPI_2 will be the CPI for the December quarter of 2007, since P_2 begins on 1 July 2008;

CPI_1 will be the CPI for the June quarter of 2007, since P_1 begins on 1 January 2008; and

CPI_0 will be the CPI for the June quarter of 2006, since P_0 begins on 1 January 2007.

Thus,

CPI_4 is 169.5;

CPI_3 is 166.0;

CPI_2 is 160.1;

CPI_1 is 157.5; and

CPI_0 is 154.3.

4.1.4. *Electrical Safety Inspection Service Charge Adjustment*

This is the allowable variation between the actual electrical safety inspection service charge for Period 3 and the forecast charge for Period 3. The actual electrical safety inspection service charge is as determined by the Minister, and published in the Gazette, in accordance with section 121B of the ESI Act.

The calculation, presented in Section 8, provides the allowable variation to be, \$0.167m.

4.1.5. *National Energy Market Charge*

This is the allowable variation between the National Energy Market charge for Period 3 and the forecast charge for Period 3. The actual National Energy Market charge is as determined by the Minister, and published in the Gazette, in accordance with section 121 of the ESI Act.

The calculation, presented in Section 8, provides the allowable variation to be, -\$0.022m.

4.1.6. *Trunk Mobile Radio Allowance*

This is the allowable variation between the amount provided in the AARR and the actual cost of participation in the State Government's Trunk Mobile Radio Network.

The calculation, presented in Section 8, provides the allowable variation to be, -\$0.541m.

4.1.7. *GSL Scheme Single Event Cap*

The 2007 Determination provided a mechanism to recognise the effects on Aurora's manpower resources of a large event that causes widespread outages. The mechanism allows Aurora to recover half of the value of extended duration GSL payments made to customers that experienced an outage of duration between the normal codified standard and a revised threshold that takes into account the number of customers affected.

The calculation, presented in Section 8, provides the allowable variation to be \$0.309m.

4.1.8. Under/Over Recovery Adjustment

The 2007 Determination allows Aurora to adjust its revenues to account for over- or under-recovery of revenues in a previous year due to a difference between the forecast and actual customer base, the latter being a function of the number of installations and the expected loads of individual tariff classes.

The calculation, presented in Section 8, provides the allowable variation to be -\$5.829m.

4.1.9. NEM Costs

This adjustment is to allow for the difference between allowed forecast costs for participation in the NEM, excluding those cost attributable to Full Retail Contestability.

The calculation, presented in Section 8, provides the allowable variation to be \$3.358m.

4.1.10. FRC Costs

This allowance is to provide for the recovery of costs associated with preparations by Aurora for operating under Full Retail Contestability in Tasmania.

The calculation, presented in Section 8, provides the allowable variation to be zero.

4.1.11. Allowable Tax Events

This adjustment to provide for the pass-through of costs associated with an allowable tax event as consistent with Regulation 31(4) of the Price Control Regulations.

During Period 3 there were no such allowable tax events, so the adjustment is zero.

4.1.12. Approved Increased Safety / Environmental Compliance Costs

This adjustment to provide for the pass-through of costs associated with a change in safety or environmental legislation.

During Period 3 there were no such changes in legislation, so the adjustment is zero.

4.1.13. Capital Contributions Policy Change Adjustment

This adjustment is to compensate for the effects upon AARR of a change in Aurora's Capital Contributions Policy.

During Period 3 there was no change to Aurora's Capital Contributions Policy, so the value of this adjustment is zero.

4.1.14. GSL Scheme Cumulative Payments Cap

The 2007 Determination allows Aurora to limit its exposure under the GSL scheme by providing an adjustment to recover the value of "excessive" GSL payments.

The actual payments for Period 3 are not available until the Regulated accounts covering Period 3 are completed and audited. The adjustment for GSL payment related to Period 3 is to be held over until Period 4.

For Period 4, $GSLcap_2$ is zero.

4.1.15. Adjustment from Previous Determination

The Regulator, in the AARR calculation methodology, provides an adjustment variable to allow for revenue adjustments resulting from the 2003 Determination.

The calculation, presented in Section 8, provides the allowable variation to be zero.

4.1.16. Banking

The Regulator, in the AARR calculation, provides an adjustment variable to be used to assist in smoothing price fluctuations.

Aurora intends, subject to approval by the Regulator, to use the full capacity of this adjustment variable in Period 4, making the adjustment \$4.607m.

4.2. Transmission Costs

The delivery of electricity from generation to final consumer involves two levels of network services, distribution and transmission. Transend is the monopoly provider of transmission network services in Tasmania, holding a transmission licence in accordance with the ESI Act. Transend's revenues are regulated by the AER, with the AER's transmission determination setting the maximum revenues that Transend may earn for the provision of transmission services. Aurora collects revenues on behalf of Transend; these are included as a component of Aurora's charges for the provision of distribution services.

Aurora anticipates the 20010/11 Transend charge to be around \$116 million. By way of comparison, the amount required for the provision of transmission services to customers on the Aurora distribution network during the 2009/10 financial year was \$90 million.

4.3. Metering Costs

The Regulator has declared metering services independently of distribution services for the 2008-2012 regulatory period, choosing to regulate metering services by application of a price cap method.

To comply with the 2007 Determination and recover the correct revenue for the provision of distribution metering services, Aurora has applied an average fixed daily metering charge to each Network Tariff.

This charge is calculated as described in the Network Tariff Strategy (Section 5.4.3).

The charge is incorporated into the individual tariffs, and shown in Section 2

4.4. *Effects of Adjustment Variables on Network Tariffs*

4.4.1. *AARR Adjustment Variables*

The maximum allowable revenue that may be recovered by Aurora is the sum of the AARR and the adjusted metering and transmission cost pass throughs. The AARR adjustment variables increase or decrease the total amount of revenue that may be recovered. The effects of varying the maximum allowable revenue are, therefore, passed through to all installations on a pro rata basis through the tariffs.

4.4.2. *Transmission Charge Variations*

Transmission charges are considered as a direct pass-through. Initially, The allocation of TUoS is by reference to the DCoS model so that the transmission charges borne by a tariff customer class is proportional to the fraction of the distribution network cost attributable to that class (see NTS Section 5.4.2). So, any variation in transmission charges is passed through to all installations on a pro rata basis through the tariffs.

4.4.3. *Metering Charges Variations*

Metering charges are allocated to tariff customer groups based upon the usage of particular meter types by those tariff customer groups, so any variation in metering charges will be allocated pro rata on that basis.

4.5. *Effects of Decreasing Consumption on Network Tariffs*

The large price increases experienced by customers during Periods 1 and 2 of the current Regulatory Period; and milder than anticipated winter weather patterns have resulted in reduction in energy consumption for a number of customers.

This reduction in energy consumption has meant that Aurora has not recovered its allowable revenue for Period 3 by approximately \$3m.

Given the low consumption again experienced in Period 3, Aurora has been conservative with its energy and customer forecasts for Period 4.

This lower than anticipated 'growth' means that Aurora must increase prices by more than would have been anticipated to ensure an appropriate recovery of its allowable revenue for Period 4.

4.6. *Effects of Increasing AARR on Network Tariffs*

Several factors, discussed above, have an effect on AARR, which leads through to variations in tariff rates. A further factor in tariff increases is in the actual variation of AARR between periods.

The MAR for Period 3 was \$227.893 million. For Period 4, MAR has been calculated to be \$232.403 million. Period 4 MAR has increased by 1.98%, over that of Period 3. The customer base, on the other hand, has been estimated to increase by less than 1%.

This means that revenues collected from tariff classes have increased by an average of 9%, but this increase is spread over only 1% more customers. Tariff rates must, therefore, increase by more than CPI, with the actual rate for a tariff varying according to the characteristics of the customers being served by that tariff.

5. Methodologies

5.1. *Rebalancing of Revenues*

Due to the carry forward of adjustments from Period 3 to Period 4, Aurora's total revenue increased by approximately 9.26% between the two periods, while its customer base and load is expected to increase by only around 1% (Section 9.1).

To meet this increase in revenue, Aurora proposes the following general strategy:

- All customers will see an increase of around CPI in the daily charge component of their Network Tariff;
- All customers will see an increase of around 4% in the Metering component of their Network Tariff;
- DUoS and TUoS components of all tariffs will be rebalanced to ensure an appropriate recovery of these components. This will mean that whilst total DUoS revenue will increase by around 6.5% and total TUoS revenue by around 29%, individual DUoS and TUoS tariff components will vary by differing amounts to the general 6.5% and 29% increases.
- Residential and business customers will see larger increases in the remaining energy block component of tariffs as the incentives to give discounts for larger consumption are unwound as part of demand management strategies.
- Customers on Nursing Home tariff N02a will receive a discounted energy rate in line with the discussion in Section 6.6 of the NTS;
- Customers on curtilage tariff N02b will receive a discounted DUoS daily charge in line with the discussion in Section 6.7 of the NTS;
- Rebalancing to ensure appropriate revenues will be applied as described in Section 5.3.3 of the NTS to "fine tune" the revenue recovery.

5.2. *Reallocation between Fixed and Variable Costs*

There has been a change in the principles of allocation between fixed and variable costs. Aurora is cognisant of the costs that are borne by small consumption customers and has therefore chosen to increase most fixed charges by CPI only. This decision will mean that a rebalance between fixed and variable charges will occur, as variable charges will increase by more than CPI to ensure an appropriate revenue recovery.

5.3. *Rebalancing of TUoS and DUoS Revenues*

Whilst Aurora's tariffs in Period 3 have resulted in an under recovery of total revenue, the individual Period 3 tariff components have resulted in an over-recovery of TUoS revenues and an under-recovery of DUoS revenues.

In Period 4 Aurora has been able to forecast its DUoS and TUoS components to achieve the desired outcome, not only to recover the total allowable revenue, but the TUoS and DUoS components of that revenue also match the expected charges from Transend and the AARR allowable to Aurora.

6. Compliance

This section is to address Guideline 2.3(d)(8): “A Network Tariff Pricing Proposal must...demonstrate compliance with the 2007 Determination, including demonstrating that the expected revenue from the distribution Network Tariffs does not exceed the AARR for the specified period, these Guideline and the Network Tariff Strategy;

6.1. Reconciliation of Tariff Revenue with AARR

Table 50: Reconciliation of Tariff Revenue with AARR

Revenue Reconciliation	Expected Revenue
Revenue	
Total Revenue from Tariffs N01 to N15	\$349,377,423
Total Revenue from Tariff N20 (streetlight DUoS)	\$2,322,230
Estimated TUoS pass through to Tariff N15	\$4,398,019
DUoS Revenue from Individual Tariff Customers	\$1,499,388
TUoS Revenue from Individual Tariff Customers	\$4,180,466
Total Revenue	\$361,777,525
Less adjustments	
TUoS charge	
Forecast total TUoS charge for period	\$116,449,577
Metering Revenue	
Revenue included in tariffs	\$12,990,061
Total Adjustments	\$129,439,638
Net revenue after revenue adjustments	\$232,337,888
AARR allowance from 2007 Determination Table 1	\$209,697,000
2007 Determination Adjustment	\$2,048,842
CPI adjustment to revenue allowance	\$20,657,000
Total revenue allowance (excluding meters)	\$232,402,842

6.2. *Compliance with the Guideline*

This section is to demonstrate the compliance of the Period 4 Pricing Proposal with the Guideline.

Guideline 2.3 (a) (5): Aurora must...submit to the Regulator, at least 2 months before the commencement of Period 3 and each subsequent period of the Determination, a further Pricing Proposal (an 'Annual Pricing Proposal') for the relevant period.

The Pricing Proposal for Period 4 must be submitted to the Regulator before the 30th April, 2009.

Guideline 2.3 (d) (1): A Network Tariff Pricing Proposal must...set out the proposed Network Tariffs that are to apply for the relevant period...

The proposed Network Tariffs for Period 4 are set out by tariff class in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (2): A Network Tariff Pricing Proposal must...set out, for each proposed Network Tariff, the terms and conditions and the charging parameters and the elements of service to which each charging parameter relates...

The terms and conditions, the charging parameters and the elements of service to which each charging parameter relates are set out by tariff class in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (3): A Network Tariff Pricing Proposal must...detail the bona fide forecast installation numbers and loads and the basis of that forecast for each proposed Network Tariff used in developing the Network Tariff Pricing Proposal;

The bona fide forecast installation numbers and loads are presented by tariff class in Section 3 of this Pricing Proposal.

The bases of the bona fide forecast installation numbers and loads are taken from data obtained from the Aurora's distribution billing system. Overall loads and installation numbers are anticipated to increase by less than 1% between Periods 3 and 4. This is in line with the most recent 10 year distribution load forecast.

Guideline 2.3 (d) (4): A Network Tariff Pricing Proposal must...set out, for each proposed Network Tariff, the expected revenue for that Network Tariff for the relevant regulatory period and also for the current regulatory period...

The expected revenues for Period 4 and the expected Revenues for Period 2 for each proposed Network tariff are presented by tariff class in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (5): A Network Tariff Pricing Proposal must...detail any proposed amendments, variations or adjustments to the Network Tariff proposed, the justification for the proposed amendments, variations or adjustments and whether these amendments, variations or adjustments are consistent with the Network Tariff Strategy...

Details of any proposed amendments, variations or adjustments to the Network Tariff proposed, the justification for the proposed amendments, variations or adjustments and whether these amendments, variations or adjustments are consistent with the Network Tariff Strategy are presented by tariff in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (6): A Network Tariff Pricing Proposal must...provide details of adjustment variables, including CPI, pass-through and other adjustments permissible under the 2007 Determination and transmission charges attributable to distribution connected customers for the period and an explanation of how each Network Tariff will be affected by the impact of the adjustment or adjustments.

Details of adjustment variables and explanations of how each tariff will be affected by these changes are presented in Section 4.

Guideline 2.3 (d) (7): A Network Tariff Pricing Proposal must...set out the nature of any proposed variation or adjustment to the Network Tariff that could occur during the subsequent periods and the basis on which it could occur...

The nature of any proposed variations or adjustments to Network Tariffs that could occur during subsequent periods and the basis on which they could occur are presented by tariff class in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (8): A Network Tariff Pricing Proposal must...demonstrate compliance with the 2007 Determination, including demonstrating that the expected revenue from the distribution Network Tariffs does not exceed the AARR for the specified period, these Guideline and the Network Tariff Strategy...

Demonstration of compliance with the 2007 Determination, including demonstration that the expected revenue from the distribution Network Tariffs does not exceed the AARR for the specified period, the Guideline and the Network Tariff Strategy is presented in Section 6.1 of this Pricing Proposal.

Guideline 2.3 (d) (9): A Network Tariff Pricing Proposal must...describe the nature and extent of and proposed changes from the previous period and demonstrate that the changes comply with these Guideline and the 2007 Determination...

The nature and extent of proposed changes from the previous period and demonstrations that the changes comply with these Guideline and the 2007 Determination are presented by tariff class in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (10): A Network Tariff Pricing Proposal must...demonstrate the impact on typical customers...

The impact of the proposed Network tariffs upon typical customers is presented in Section 7 of this Pricing Proposal.

Guideline 2.3 (d) (11): A Network Tariff Pricing Proposal must...be accompanied by an internal audit certificate and certified as correct by the Chairman and one other Director of Aurora.

The internal audit certificate and certification of correctness are attached at Attachment A to this Pricing Proposal.

6.3. Compliance with the Network Tariff Strategy

The compliance of aspects of this Pricing Proposal with the NTS is addressed in the sections that deal with those aspects.

6.4. Compliance with the 2007 Determination

6.4.1. “Postage Stamp” Pricing

Pricing Principle (a) of the 2007 Determination requires that, “Network Tariffs for small customers belonging to a particular class are to be uniform, regardless of where in mainland Tasmania the customer is supplied with electricity”.

The Aurora suite of tariffs for small customers is applicable irrespective of installation location.

6.4.2. Bounded Revenues

Pricing Principle (a) of the 2007 Determination requires that:

For each Network Tariff class, the revenue expected to be recovered should lie on or between:

- (1) an upper bound representing the stand alone cost of serving the customers who belong to that class; and
- (2) a lower bound representing the avoidable cost of not serving those customers.

Using the methodology described in Section 5.1 of the NTS, Aurora has calculated the relevant upper and lower bounds for each Network Tariff class. These, and the revenue recoverable from each Network Tariff class, are presented in Table 51.

Table 51: Tariff Class Revenues, Stand Alone Costs & Avoidable Costs

Tariff Class	Stand-Alone Cost (\$ million)	Expected Revenue (\$ million)	Avoidable Cost (\$ million)
N01 General Network	318.07	117.20	8.70
N02 General Network - Business	260.53	91.73	2.21
N02B - General Network - Business less curtilage	260.53	3.71	0.00
N02A General Network - Business Nursing Homes	260.53	2.73	0.00
N03 LV Metered Demand (kW)	224.99	4.67	0.26
N05 Uncontrolled Heating	230.09	39.03	0.00
N06 Controlled Heating	218.40	2.80	0.00
N06A Controlled Heating - (Night)	218.40	0.00	0.00
N07 Small LV unmetered	216.98	1.22	0.01
N08 LV Irrigation, Day/Night	220.14	8.37	0.08
N08A LV Irrigation, Day/Night, ToU Energy	220.14	0.53	0.08
N09 LV Metered Demand (kVA)	228.86	31.75	0.30
N13 LV PAYG	242.81	31.41	1.95
N13R LV Residential, ToU Energy	242.81	2.14	1.95
N13B LV Commercial, ToU Energy	242.81	1.33	1.95
N10 HV Metered Demand (kVA)	222.25	5.21	0.16
N10S HV Specified Demand (kVA), ToU Energy	222.25	2.25	0.16
N11 HV Metered Demand (kW)	218.27	0.16	0.06
N15 HV>2MVA Specified Demand	217.22	3.13	0.01
N20 Streetlight	218.13	2.32	0.00

6.4.3. Long Run Marginal Costs

Pricing Principle (c)(1) of the 2007 Determination requires that, “A Network Tariff, and if it consists of 2 or more charging parameters each charging parameter for a tariff class...must take into account the long run marginal cost for the service or, in the case of a charging parameter, for the element of the service to which the charging parameter relates...”

Aurora believes that it has set its Network Tariffs to achieve compliance with this requirement. Refer to Section 9.3.1 of the NTS for discussion of this.

7. Typical Customer Effects

This section is to address Guideline 2.3(d)(10): “A Network Tariff Pricing Proposal must...demonstrate the impact on typical customers; and”

7.1. Estimated Changes to Network Tariff Rates Between Period 3 and Period 4

Previously Aurora presented a typical customer analysis based upon retail tariffs. Bearing in mind that Aurora as a DNSP has little control over how retailers package their tariffs, any such analysis was purely speculative in nature and final retail outcomes did not match distribution predictions. Aurora has therefore produced a typical customer analysis that provides price impacts for the ‘network’ component of tariffs only and utilises load predictions for the equivalent retail tariffs.

7.1.1. Method

Historical load distributions by common tariff mix were obtained from Aurora Retail.

The Aurora Network published tariff rates for Period 3 were obtained.

The proposed Period 4 Aurora Network tariffs were included.

The Period 3 and Period 4 Aurora Network tariffs were applied to the historical load distributions.

The results are presented in the following sections

7.1.2. Notes

- The estimated tariffs exclude GST.
- In line with NEM metering convention, consumption is metered on a daily basis. Accordingly, the consumption thresholds in the tariffs, while presented on a quarterly basis, are applied on a pro rata daily basis. The pro rata daily threshold is given by the equation

Pro rata Daily Consumption Threshold = $4 \times \text{Quarterly Consumption Threshold} \div 365$.

7.2. Typical Customer Analysis Results – Estimated Network Outcomes

7.2.1. LV General Network – Residential (N01) – this is equivalent to Aurora Retail tariff 31

N01		Period 3 2009/10		P4 2010/11		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	135	9.528	12.86	10.980	14.82	15.2%
Remaining Consumption (c/kWh)	0	8.999		10.683		
Total	635		105.37		114.72	8.9%
(1 st Quartile)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	202	10.587	21.39	11.870	23.98	12.1%
Next 1,000kWh per Quarter (c/kWh)	0	9.528		10.980		
Remaining Consumption (c/kWh)	0	8.999		10.683		
Total	202		60.96		64.53	5.9%
3 rd Quartile						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	768	9.528	73.18	10.980	84.33	15.2%
Remaining Consumption (c/kWh)	0	8.999		10.683		
Total	1,268		165.68		184.23	11.2%

7.2.2. LV General Network – Residential (N01) and LV uncontrolled Energy (N05) – this is equivalent to Aurora Retail tariffs 31 and 41

N01 & N05		Period 3 2009/10		P4 2010/11		
Median	Units	Network Price	\$	Network Price	\$	% Change
(N01)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	558	9.528	53.17	10.980	61.27	15.2%
Remaining Consumption (c/kWh)	0	8.999		10.683		
(N05)						
Daily Charge (c/day)	91	11.195	10.19	11.590	10.55	3.5%
All Energy Charge (c/kWh)	779	3.094	24.10	3.650	28.43	18.0%
Total			179.96		200.15	11.2%
1st Quartile						
(N01)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	146	9.528	13.91	10.980	16.03	15.2%
Remaining Consumption (c/kWh)	0	8.999		10.683		
(N05)						
Daily Charge (c/day)	91	11.195	10.19	11.590	10.55	3.5%
All Energy Charge (c/kWh)	567	3.094	17.54	3.650	20.69	18.0%
Total			134.15		147.17	9.7%

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3rd Quartile						
(N01)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	1,000	9.528	95.28	10.980	109.80	15.2%
Remaining Consumption (c/kWh)	49	8.999	4.41	10.683	5.23	18.7%
(N05)						
Daily Charge (c/day)	91	11.195	10.19	11.590	10.55	3.5%
All Energy Charge (c/kWh)	1,077	3.094	33.32	3.650	39.31	18.0%
Total			235.70		264.79	12.3%

7.2.3. LV General Network – Residential (N01) and LV uncontrolled Energy (N05) – this is equivalent to Aurora Retail tariffs 31 and 42

Network Tariffs N01, N05		Period 3 2009/10		P4 2010/11		
Median	Units	Network Price	\$	Network Price	\$	% Change
(N01)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	538	9.528	51.26	10.980	59.07	15.2%
Remaining Consumption (c/kWh)	0	8.999		10.683		
(N05)						
Daily Charge (c/day)	91	11.195	10.19	11.590	10.55	3.5%
All Energy Charge (c/kWh)	1,710	3.094	52.91	3.650	62.41	18.0%
Total			206.86		231.93	12.1%
1st Quartile						
(N01)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	238	9.528	22.68	10.980	26.13	15.2%
Remaining Consumption (c/kWh)	0	8.999		10.683		
(N05)						
Daily Charge (c/day)	91	11.195	10.19	11.590	10.55	3.5%
All Energy Charge (c/kWh)	1,140	3.094	35.27	3.650	41.61	18.0%
Total			160.64		178.19	10.9%

Network Pricing Proposal - Period 4

3rd Quartile						
(N01)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	931	9.528	88.71	10.980	102.22	15.2%
Remaining Consumption (c/kWh)	0	8.999		10.683		
(N05)						
Daily Charge (c/day)	91	11.195	10.19	11.590	10.55	3.5%
All Energy Charge (c/kWh)	2,383	3.094	73.73	3.650	86.97	18.0%
Total			265.13		299.65	13.0%

7.2.4. LV General Network – Residential (N01), LV Uncontrolled Energy (N05) and LV Controlled Heating (N06) – this is equivalent to Aurora Retail tariffs 31, 41 and 61/62

Network Tariffs N01, N05, N06		Period 3 2009/10		P4 2010/11		
Median	Units	Network Price	\$	Network Price	\$	% Change
(N01)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	635	9.528	60.50	10.980	69.72	15.2%
Remaining Consumption (c/kWh)	0	8.999		10.683		
(N05)						
Daily Charge (c/day)	91	11.195	10.19	11.590	10.55	3.5%
All Energy Charge (c/kWh)	778	3.094	24.07	3.650	28.39	18.0%
(N06)						
Daily Charge (c/day)	91	14.845	13.51	15.313	13.94	3.2%
All Energy Charge (c/kWh)	984	0.837	8.24	0.990	9.74	18.3%
Total			209.01		232.25	11.1%
1st Quartile						
(N01)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	360	9.528	34.30	10.980	39.53	15.2%
Remaining Consumption (c/kWh)	0	8.999		10.683		
(N05)						
Daily Charge (c/day)	91	11.195	10.19	11.590	10.55	3.5%
All Energy Charge (c/kWh)	681	3.094	21.07	3.650	24.85	18.0%
(N06)						
Daily Charge (c/day)	91	14.845	13.51	15.313	13.94	3.2%
All Energy Charge (c/kWh)	522	0.837	4.37	0.990	5.17	18.3%
Total			175.94		193.94	10.2%

Network Pricing Proposal - Period 4

Network Tariffs N01, N05, N06		Period 3 2009/10		P4 2010/11		
3rd Quartile	Units	Network Price	\$	Network Price	\$	% Change
(N01)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	1,000	9.528	69.17	10.980	79.72	15.2%
Remaining Consumption (c/kWh)	66	8.999		10.683		
(N05)						
Daily Charge (c/day)	91	11.195	10.19	11.590	10.55	3.5%
All Energy Charge (c/kWh)	961	3.094	44.09	3.650	52.01	18.0%
(N06)						
Daily Charge (c/day)	91	14.845	13.51	15.313	13.94	3.2%
All Energy Charge (c/kWh)	1,530	0.837	7.62	0.990	9.01	18.3%
Total			237.08		265.12	11.8%

7.2.5. LV General Network – Residential (N01), LV Uncontrolled Energy (N05) and LV Controlled Heating (N06) – this is equivalent to Aurora Retail tariffs 31, 42 and 61/62

Network Tariffs N01, N05, N06		Period 3 2009/10		P4 2010/11		
Median	Units	Network Price	\$	Network Price	\$	% Change
(N01)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	726	9.528	69.17	10.980	79.72	15.2%
Remaining Consumption (c/kWh)	0	8.999		10.683		
(N05)						
Daily Charge (c/day)	91	11.195	10.19	11.590	10.55	3.5%
All Energy Charge (c/kWh)	1,425	3.094	44.09	3.650	52.01	18.0%
(N06)						
Daily Charge (c/day)	91	14.845	13.51	15.313	13.94	3.2%
All Energy Charge (c/kWh)	910	0.837	7.62	0.990	9.01	18.3%
Total			237.08		265.12	11.8%
1st Quartile						
(N01)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	424	9.528	40.40	10.980	46.56	15.2%
Remaining Consumption (c/kWh)	0	8.999		10.683		
(N05)						
Daily Charge (c/day)	91	11.195	10.19	11.590	10.55	3.5%
All Energy Charge (c/kWh)	1,019	3.094	31.53	3.650	37.19	18.0%
(N06)						
Daily Charge (c/day)	91	14.845	13.51	15.313	13.94	3.2%
All Energy Charge (c/kWh)	644	0.837	5.39	0.990	6.38	18.3%
Total			193.52		214.51	10.8%

Network Pricing Proposal - Period 4

Network Tariffs N01, N05, N06		Period 3 2009/10		P4 2010/11		
3rd Quartile	Units	Network Price	\$	Network Price	\$	% Change
(N01)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	1,000	9.528	95.28	10.980	109.80	15.2%
Remaining Consumption (c/kWh)	138	8.999	12.42	10.683	14.74	18.7%
(N05)						
Daily Charge (c/day)	91	11.195	10.19	11.590	10.55	3.5%
All Energy Charge (c/kWh)	1,849	3.094	57.21	3.650	67.48	18.0%
(N06)						
Daily Charge (c/day)	91	14.845	13.51	15.313	13.94	3.2%
All Energy Charge (c/kWh)	1,288	0.837	10.78	0.990	12.76	18.3%
Total			291.89		329.17	12.8%

7.2.6. LV General Network – Residential (N01) and LV Controlled Heating (N06) – this is equivalent to Aurora Retail tariffs 31 and 61/62

Network Tariffs N01, N06		Period 3 2009/10		P4 2010/11		
Median	Units	Network Price	\$	Network Price	\$	% Change
(N01)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	508	9.528	48.40	10.980	55.78	15.2%
Remaining Consumption (c/kWh)	0	8.999		10.683		
(N06)						
Daily Charge (c/day)	91	14.845	13.51	15.313	13.94	3.2%
All Energy Charge (c/kWh)	1,110	0.837	9.29	0.990	10.99	18.3%
Total			163.71		180.61	10.3%
1st Quartile						
(N01)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	258	9.528	24.58	10.980	28.33	15.2%
Remaining Consumption (c/kWh)	0	8.999		10.683		
(N06)						
Daily Charge (c/day)	91	14.845	13.51	15.313	13.94	3.2%
All Energy Charge (c/kWh)	642	0.837	5.37	0.990	6.36	18.3%
Total			135.97		148.52	9.2%

Network Pricing Proposal - Period 4

3rd Quartile						
(N01)						
Daily Charge (c/day)	91	43.483	39.57	44.560	40.55	2.5%
First 500kWh per Quarter (c/kWh)	500	10.587	52.94	11.870	59.35	12.1%
Next 1,000kWh per Quarter (c/kWh)	884	9.528	84.23	10.980	97.06	15.2%
Remaining Consumption (c/kWh)	0	8.999		10.683		
(N06)						
Daily Charge (c/day)	91	14.845	13.51	15.313	13.94	3.2%
All Energy Charge (c/kWh)	1,675	0.837	14.02	0.990	16.59	18.3%
Total			204.26		227.49	11.4%

7.2.7. LV General Network – Business (N02) – this is equivalent to Aurora Retail tariff 22

Network Tariff N02		Period 3 2009/10		P4 2010/11		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	46.917	42.69	48.112	43.78	2.5%
First 500kWh per Quarter (c/kWh)	500	11.466	57.33	12.592	62.96	9.8%
Remaining Consumption (c/kWh)	472	8.999	42.48	10.683	50.43	18.7%
Total			142.50		157.17	10.3%
(1 st Quartile)						
Daily Charge (c/day)	91	46.917	42.69	48.112	43.78	2.5%
First 500kWh per Quarter (c/kWh)	165	11.466	18.92	12.592	20.78	9.8%
Remaining Consumption (c/kWh)		8.999		10.683		
Total			61.61		64.56	4.8%
3 rd Quartile						
Daily Charge (c/day)	91	46.917	42.69	48.112	43.78	2.5%
First 500kWh per Quarter (c/kWh)	500	11.466	57.33	12.592	62.96	9.8%
Remaining Consumption (c/kWh)	3,393	8.999	305.34	10.683	362.49	18.7%
Total			405.36		469.23	15.8%

7.2.8. LV Nursing Homes (N02a) – this is equivalent to Aurora Retail tariff 34

Network Tariff N02a		Period 3 2009/10		P4 2010/11		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	46.917	42.69	48.112	43.78	2.5%
First 500kWh per Quarter (c/kWh)	500	10.427	52.14	11.273	56.37	8.1%
Remaining Consumption (c/kWh)	167,000	5.501	9,186.67	5.947	9,932.19	8.1%
Total			9,281.50		10,032.33	8.1%
(1 st Quartile)						
Daily Charge (c/day)	91	46.917	42.69	48.112	43.78	2.5%
First 500kWh per Quarter (c/kWh)	500	10.427	52.14	11.273	56.37	8.1%
Remaining Consumption (c/kWh)	5,817	5.501	319.99	5.947	345.96	8.1%
Total			414.82		446.11	7.5%
3 rd Quartile						
Daily Charge (c/day)	91	46.917	42.69	48.112	43.78	2.5%
First 500kWh per Quarter (c/kWh)	500	10.427	52.14	11.273	56.37	8.1%
Remaining Consumption (c/kWh)	548,022	5.501	30,146.69	5.947	32,593.15	8.1%
Total			30,241.52		32,693.30	8.1%

7.2.9. LV Metered Demand (kW) (N03) – this is equivalent to Aurora Retail tariff 83

Network Tariff N03		Period 3 2009/10		P4 2010/11		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	202.940	184.68	210.987	192.00	4.0%
First 250kW Demand (c/kW/day)	52	48.921	2,314.94	57.272	2,710.11	17.1%
Additional Demand (c/kW/day)	0	44.093		51.622		
All Energy (c/kWh)	51,387	2.374	1,219.93	2.728	1,401.84	14.9%
Total			3,719.54		4,303.95	15.7%
(1 st Quartile)						
Daily Charge (c/day)	91	202.940	184.68	210.987	192.00	4.0%
First 250kW Demand (c/kW/day)	25	48.921	1,112.95	57.272	1,302.94	17.1%
Additional Demand (c/kW/day)	0	44.093		51.622		
All Energy (c/kWh)	21,471	2.374	509.72	2.728	585.73	14.9%
Total			1,807.35		2,080.67	15.1%
3 rd Quartile						
Daily Charge (c/day)	91	202.940	184.68	210.987	192.00	4.0%
First 250kW Demand (c/kW/day)	138	48.921	6,143.50	57.272	7,192.22	17.1%
Additional Demand (c/kW/day)	0	44.093		51.622		
All Energy (c/kWh)	125,325	2.374	2,975.22	2.728	3,418.87	14.9%
Total			9,303.39		10,803.08	16.1%

7.2.10. LV Metered Demand (kVA) (N09) – this is equivalent to Aurora Retail tariff 82

Network Tariff N09		Period 3 2009/10		P4 2010/11		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	188.958	171.95	193.142	175.76	2.2%
First 250kVA Demand (c/kVA/day)	125	38.502	4,379.60	44.256	5,034.10	14.9%
Additional Demand (c/kVA/day)	0	34.703		39.890		
All Energy (c/kWh)	123,135	2.198	2,706.51	2.480	3,054.18	12.8%
Total			7,258.06		8,264.04	13.9%
(1 st Quartile)						
Daily Charge (c/day)	91	188.958	171.95	193.142	175.76	2.2%
First 250kVA Demand (c/kVA/day)	61	38.502	2,137.25	44.256	2,456.64	14.9%
Additional Demand (c/kVA/day)	0	34.703		39.890		
All Energy (c/kWh)	48,595	2.198	1,068.12	2.480	1,205.33	12.8%
Total			3,377.32		3,837.73	13.6%
3 rd Quartile						
Daily Charge (c/day)	91	188.958	171.95	193.142	175.76	2.2%
First 250kVA Demand (c/kVA/day)	250	38.502	8,759.21	44.256	10,068.20	14.9%
Additional Demand (c/kVA/day)	40	34.703	1,263.19	39.890	1,451.99	14.9%
All Energy (c/kWh)	278,150	2.198	6,113.74	2.480	6,899.10	12.8%
Total			16,308.08		18,595.05	14.0%

7.2.11. HV Metered Demand (kVA) (N10) – this is equivalent to Aurora Retail tariff 85

Network Tariff N10		Period 3 2009/10		P4 2010/11		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	181.114	164.81	186.044	169.30	2.7%
Demand Charge (c/kVA/day)	926	22.250	18,749.19	24.023	20,243.19	8.0%
All Energy (c/kWh)	901,858	1.150	10,371.36	1.439	12,974.26	25.1%
Total			29,285.36		33,386.74	14.0%
(1 st Quartile)						
Daily Charge (c/day)	91	181.114	164.81	186.044	169.30	2.7%
Demand Charge (c/kVA/day)	498	22.250	10,083.26	24.023	10,886.73	8.0%
All Energy (c/kWh)	369,000	1.150	4,243.50	1.439	5,308.49	25.1%
Total			14,491.57		16,364.51	12.9%
3 rd Quartile						
Daily Charge (c/day)	91	181.114	164.81	186.044	169.30	2.7%
Demand Charge (c/kVA/day)	1,904	22.250	38,551.24	24.023	41,623.14	8.0%
All Energy (c/kWh)	1,836,950	1.150	21,124.93	1.439	26,426.63	25.1%
Total			59,840.98		68,219.08	14.0%

7.2.12. HV Metered Demand (kW) (N11) – this is equivalent to Aurora Retail tariff 86

Network Tariff N11		Period 3 2009/10		P4 2010/11		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	190.692	173.53	198.268	180.42	4.0%
Demand Charge (c/kW/day)	515	28.270	13,248.74	31.089	14,569.64	10.0%
All Energy (c/kWh)	573,075	1.242	7,117.59	1.582	9,068.78	27.4%
Total			20,539.86		23,818.84	16.0%
(1 st Quartile)						
Daily Charge (c/day)	91	190.692	173.53	198.268	180.42	4.0%
Demand Charge (c/kW/day)	227	28.270	5,839.73	31.089	6,421.96	10.0%
All Energy (c/kWh)	179,200	1.242	2,225.66	1.582	2,835.80	27.4%
Total			8,238.93		9,438.18	14.6%
3 rd Quartile						
Daily Charge (c/day)	91	190.692	173.53	198.268	180.42	4.0%
Demand Charge (c/kW/day)	1,115	28.270	28,684.16	31.089	31,543.98	10.0%
All Energy (c/kWh)	1,044,000	1.242	12,966.48	1.582	16,521.05	27.4%
Total			41,824.17		48,245.46	15.4%

7.2.13. LV Day/Night Irrigation (N08) – this is equivalent to Aurora Retail tariff 73/74

Network Tariff N08		Period 3 2009/10		P4 2010/11		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	185.949	169.21	190.070	172.96	2.2%
Day Energy Charge (c/kWh)	2,882	11.466	330.48	12.592	362.94	9.8%
Night Energy Charge (c/kWh)	4,035	0.837	33.78	0.990	39.96	18.3%
Total			533.47		575.86	7.9%
(1 st Quartile)						
Daily Charge (c/day)	91	185.949	169.21	190.070	172.96	2.2%
Day Energy Charge (c/kWh)	455	11.466	52.11	12.592	57.23	9.8%
Night Energy Charge (c/kWh)	508	0.837	4.25	0.990	5.03	18.3%
Total			225.58		235.23	4.3%
3 rd Quartile						
Daily Charge (c/day)	91	185.949	169.21	190.070	172.96	2.2%
Day Energy Charge (c/kWh)	11,831	11.466	1,356.57	12.592	1,489.81	9.8%
Night Energy Charge (c/kWh)	15,809	0.837	132.32	0.990	156.55	18.3%
Total			1,658.10		1,819.33	9.7%

7.2.14. LV PAYG (N13) – this is equivalent to Aurora Retail PAYG tariff

Network Tariff N13		Period 3 2009/10		P4 2010/11		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	35.812	32.59	36.567	33.28	2.1%
All Energy)	2,818	7.368	207.61	6.760	190.47	-8.3%
Total			240.20	43.33	223.74	-6.9%
(1 st Quartile)						
Daily Charge (c/day)	91	35.812	32.59	36.567	33.28	2.1%
All Energy)	2,096	7.368	154.41	6.760	141.66	-8.3%
Total			187.00		174.94	-6.5%
3 rd Quartile						
Daily Charge (c/day)	91	35.812	32.59	36.567	33.28	2.1%
All Energy)	3,473	7.368	255.89	6.760	234.76	-8.3%
Total			288.48		268.04	-7.1%

7.2.15. LV ToU Residential – this is equivalent to Aurora Retail PAYG tariff

Network Tariff N13r		Period 3 2009/10		P4 2010/11		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	45.368	41.28	46.383	42.21	2.2%
Peak Energy	1,066	9.528	101.55	11.286	120.28	18.4%
Shoulder Energy	855	6.051	51.76	7.167	61.31	18.5%
Off-Peak Energy	897	0.837	7.50	0.990	8.88	18.3%
Total			202.10		232.68	15.1%
(1 st Quartile)						
Daily Charge	91	45.368	41.28	46.383	42.21	2.2%
Peak Energy	793	9.528	75.53	11.286	89.46	18.4%
Shoulder Energy	636	6.051	38.50	7.167	45.60	18.5%
Off-Peak Energy	667	0.837	5.58	0.990	6.60	18.3%
Total			160.89		183.87	14.3%
3 rd Quartile						
Daily Charge	91	45.368	41.28	46.383	42.21	2.2%
Peak Energy	1,314	9.528	125.16	11.286	148.25	18.4%
Shoulder Energy	1,054	6.051	63.80	7.167	75.57	18.5%
Off-Peak Energy	1,105	0.837	9.25	0.990	10.94	18.3%
Total			239.49		276.97	15.6%

7.3. Comparison with Other Jurisdictions

The following graphs are presented to provide a comparison between the network charges levied by Aurora and those DNSPs in other Australian jurisdictions. The charges for the other DNSPs were estimated using the known load characteristics of Aurora network users and the published Network Tariffs of those DNSPs. For ease of comparison, Aurora’s charges are taken to be 100%.

As a number of DNSPs have not released prices as yet, the comparison is against equivalent Period 3 tariffs in some cases.

Figure 1: Residential Tariff Comparison - Period 4

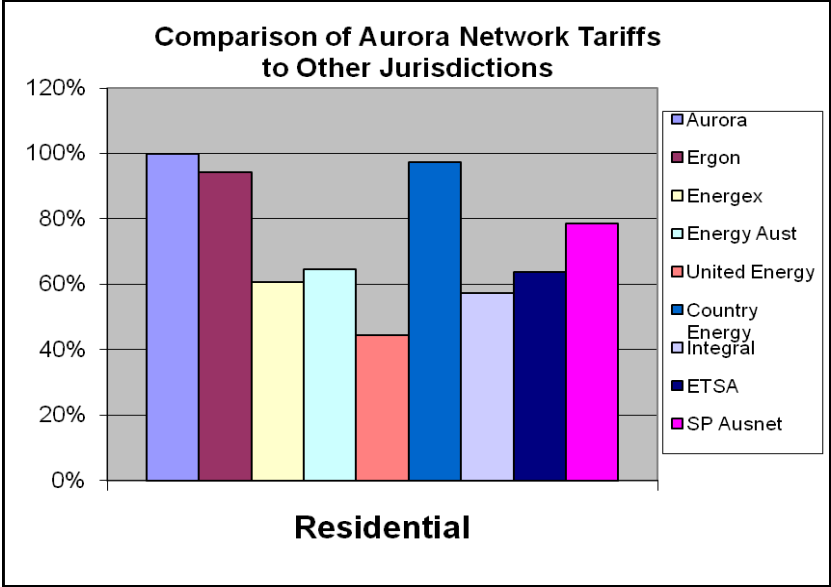


Figure 2: LV Business Tariff Comparison - Period 4

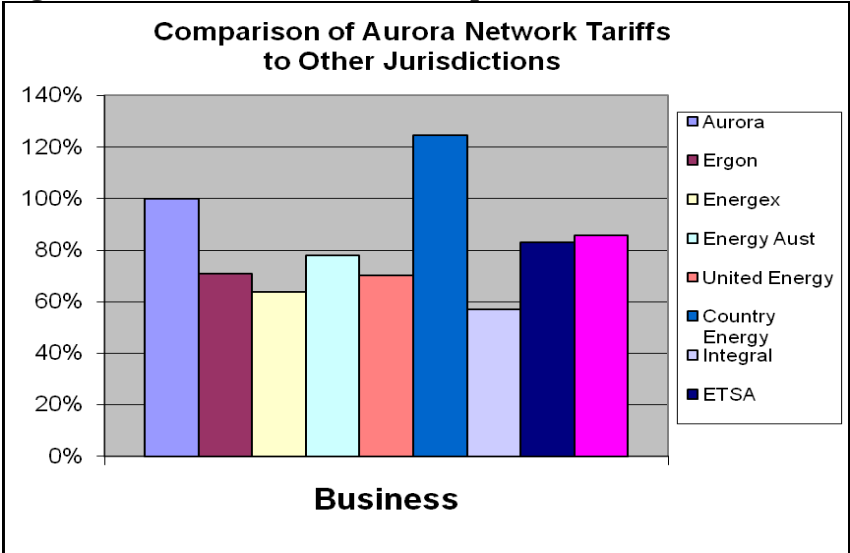


Figure 3: HV Demand (kVA) Tariff Comparison - Period 4

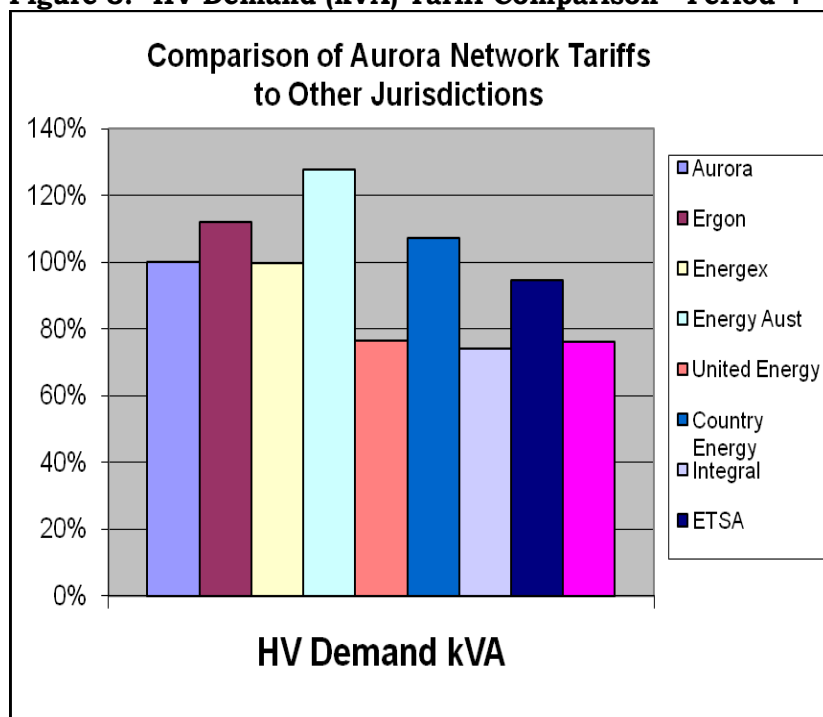
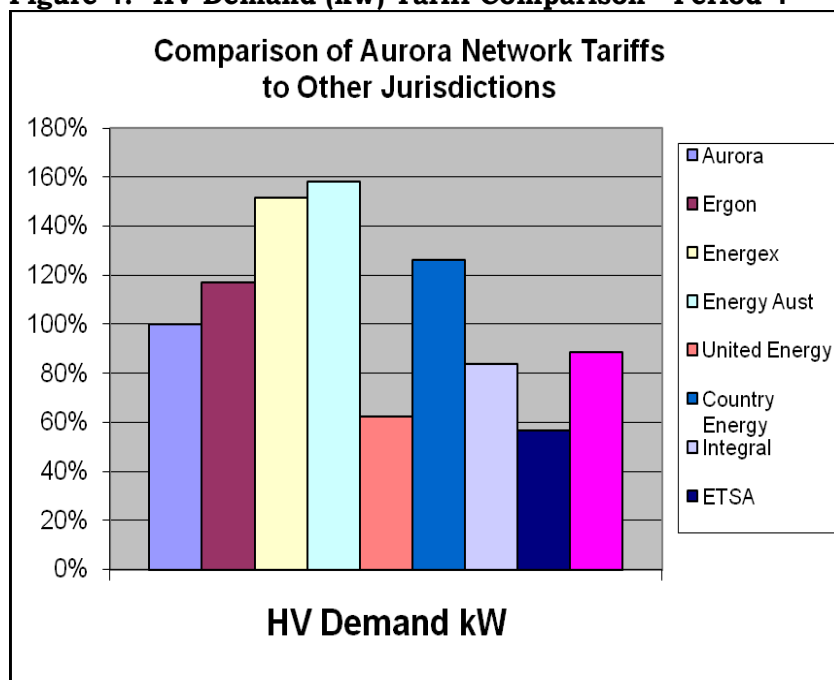


Figure 4: HV Demand (kW) Tariff Comparison - Period 4



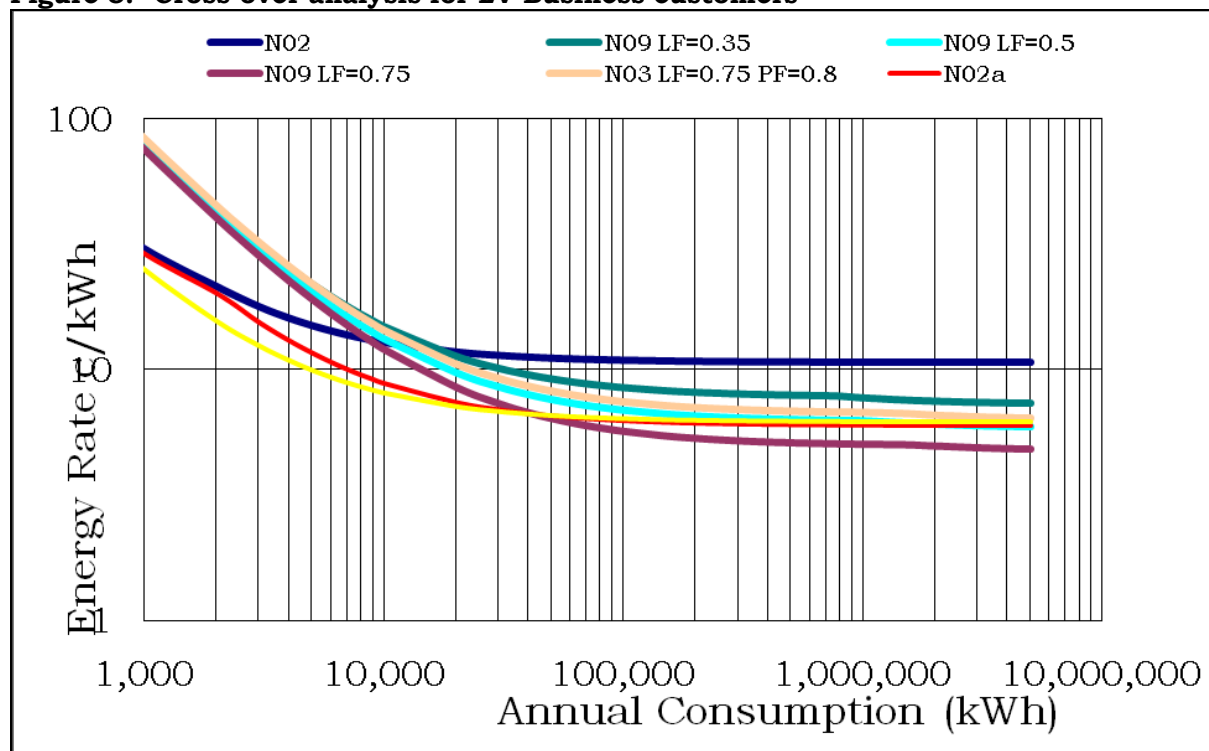
7.4. Cross-over Analysis

This section provides a series of cross-over analyses. These plots can be used to infer the annual consumptions at which any given Network Tariff becomes more efficient than another.

7.4.1. Small Customer Tariffs

Figure 5 provides comparisons between the General Network – Business N02 tariff and the two LV Metered Demand tariffs, N03 and N09 based upon the Proposed Period 4 Network tariffs.

Figure 5: Cross-over analysis for LV Business customers



8. Maximum Annual Revenue

The maximum annual revenue (AARR), which may be earned by Aurora for the provision of distribution services for each period as defined in the December 2007 Determination, is to be calculated on the following basis:

$$\begin{aligned}
 AARR_y = & F_y \times PIF_y + \\
 & \left[\left(\frac{ESISC_y + NEMC_y + TMR_y + GSLse_y}{CPI_y} \right) \times \frac{CPI_y}{CPI_{y-1}} \times (WACC) \right] + \\
 & \frac{K_{y-p} + NEM_y}{CPI_y} \times \frac{CPI_y}{CPI_{y-2}} + FRC_y + TAXA_y + L_y + CapCon_y + \\
 & GSLcap_y + CF_y + O_y
 \end{aligned}$$

Throughout this document the CPI and WACC escalation factors are included in the calculation of the individual components, thus the formulae becomes:

$$\begin{aligned}
 AARR_y = & F_y \times PIF_y + ESISC_y + NEMC_y + TMR_y + GSLse_y + K_{y-p} + \\
 & NEM_y + FRC_y + TAXA_y + L_y + CapCon_y + GSLcap_y + CF_y + O_y
 \end{aligned}$$

$$\begin{aligned}
 AARR_4 = & 209.697 \times \frac{169.5}{154.3} + 0.167 - 0.022 - 0.541 + 0.309 - 5.829 + \\
 & 3.358 + 0 + 0 + 0 + 0 + 0 + 0 + 4.607
 \end{aligned}$$

$$AARR_4 = 232.403m$$

The calculated aggregate annual revenue requirement for Period 4 (1 July 2010 to 30 June 2011) of the 2007 Pricing Determination is \$232.403m.

Where,

y is the period as defined in the determination;

F_y is the forecast maximum AARR for each period defined in table 1 of the determination;

PIF_y is the prescribed inflationary factor for the relevant period as defined in the determination;

$ESISC_y$ is the difference between the actual electrical safety inspection service charge for period $y-1$ and the relevant forecast for period $y-1$ in table 2 of the determination;

$NEMC_y$ is the difference between the National Energy Market charge and that forecast in table 3 of the determination for the relevant period;

TMR_y is the PIF escalated difference between the actual charge for the State Government Trunk Mobile Radio network and that forecast in table 5 of the determination for periods 4 and 5.

$GSLse_y$ is the adjustment arising from the methodology set out in Schedule 1 of the determination for the GSL threshold;

CPI_y is the CPI for the quarter ending 6 months prior to the commencement of the relevant period, being 169.5;

CPI_0 is the Weighted Average of All Capital Cities CPI for the quarter ending 30 June 2006, being 154.3;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

K_{y-p} is the adjustment for under or over recovery of allowable revenue in prior years due to variance in the customer base;

NEM_y is the PIF escalated difference between the actual allowance approved by the Regulator for period $y-2$ and that forecast in table 4 of the determination for Aurora Distribution's participation in the NEM and retail contestability costs (excluding full retail contestability costs);

FRC_y is the allowance for the implementation of full retail contestability as approved by the Regulator;

$TAXA_y$ is the allowable tax event adjustment calculated in accordance with a methodology approved by the Regulator as consistent with Regulation 31(4) of the Price Control Regulations;

L_y is the allowable adjustment calculated in accordance with a methodology approved by the Regulator arising from changes in safety and/or environmental legislation;

$CapCon_y$ is the adjustment calculated in accordance with a methodology approved by the Regulator arising from a change to Aurora Distribution's capital contribution policies;

$GSLcap_y$ is the adjustment arising from the variance between actual payments to the PIF adjusted cumulative GSL threshold set out in table 6, calculated in accordance with the methodology set out in the determination;

CF_y is the adjustment arising from the administration of the 2003 Determination;

O_y is an adjustment approved by the Regulator to mitigate price fluctuations (no more than $\pm 2\%$ of F_y);

F_4 , the forecast maximum AARR for Period 4, as defined in Table 1 of the 2007 Determination, is \$209.697m;

PIF₄, the prescribed inflationary factor for Period 4 (CPI_y/CPI_0), is 169.5/154.3;

ESISC₄, the electrical safety inspection service charge difference, is \$0.167m;

NEMC₄, the National Energy Market charge difference, is -\$0.022m;

TMR₄, the PIF escalated State Government Trunk Mobile Radio network difference, is -\$0.541m;

GSLse₄, the adjustment arising from the methodology set out in Schedule 1 of the determination for the GSL threshold, is \$0.309m;

K_{4-p}, the adjustment for under or over recovery of allowable revenue in prior years due to variance in the customer base, is -\$5.829m;

NEM₄, the PIF escalated difference between the actual allowance approved by the Regulator for period $y-2$ and that forecast in table 4 of the determination for Aurora Distribution's participation in the NEM and retail contestability costs (excluding full retail contestability costs), is \$3.358m;

FRC₄, the allowance for the implementation of full retail contestability as approved by the Regulator, is \$0;

TAXA₄, the allowable tax event adjustment calculated in accordance with a methodology approved by the Regulator as consistent with Regulation 31(4) of the Price Control Regulations, is \$0;

L₄, the allowable adjustment calculated in accordance with a methodology approved by the Regulator arising from changes in safety and/or environmental legislation, is \$0;

CapCon₄, the adjustment calculated in accordance with a methodology approved by the Regulator arising from a change to Aurora Distribution's capital contribution policies, is \$0;

GSLcap₄, the adjustment arising from the variance between actual payments to the PIF adjusted cumulative GSL threshold set out in table 6, calculated in accordance with the methodology set out in the determination, is \$0;

CF₄, the adjustment arising from the administration of the 2003 Determination, is \$0m; and

O₄, the adjustment approved by the Regulator to mitigate price fluctuations, is \$4.607m.

8.1. *Weighted Average of All Capital Cities CPI, CPI_y*

The weighted average of all capital cities CPI index number for the June and December quarter of each year will be that obtained from the Australian Bureau of Statistics web site, www.abs.gov.au or as amended from time to time.

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.1.

The weighted average of all capital cities CPI index number for the December quarter of 2008 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 166.0.

The weighted average of all capital cities CPI index number for the December quarter of 2009 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 169.5.

8.2. *Electrical Safety Inspection Service charge adjustment; ESISC_y*

The adjustment for the difference between the actual electrical safety inspection service charge and the forecast charge for the previous period is to be calculated on the following basis:

$$ESISC_y = \left(ESISC_{a_{y-1}} \times \frac{CPI_y}{CPI_{y-1}} - ESISC_{f_{y-1}} \times \frac{CPI_y}{CPI_0} \right) \times (1 + WACC)$$

Where,

ESISC_{a_{y-1}} is the actual charge for the previous period, apportioned and CPI adjusted from the calendar year charge published in the Gazette¹;

ESISC_{f_{y-1}} is the forecast charge for the previous period, as detailed in Table 2 of the determination;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

CPI₀ is the Weighted Average of All Capital Cities CPI for the quarter ending 30 June 2006, being 154.3;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period; and

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period.

Forecast ESIS charge for Period 3, ESISC_{f_{y-1}}

The forecast electrical safety inspection service charge for period 3, as shown in Table 2 of the determination, is \$2.568m.

Actual ESIS charge for Period 3, ESISC_{a_{y-1}}

The apportioned actual electrical safety inspection charge for period 3, as determined by the Minister and published in the Gazette, is \$2.916m.

¹ The minister will determine the ESISC on a calendar year basis. Thus the actual ESISC for the period y-1 will be calculated assuming the calendar year costs are equally divided between each six month block and inflated by CPI as appropriate.

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2009 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 169.5.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the December quarter of 2008 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 166.0.

$$ESISC_4 = \left(2.916 \times \frac{169.5}{166.0} - 2.568 \times \frac{169.5}{154.3} \right) \times (+0.0664)$$

$$ESISC_4 = 0.167m$$

For period 4, $ESISC_4 = \$0.167m$.

8.3. Prior years under or over recovery of revenue adjustment; K_{y-p}

The adjustment for under or over recovery of allowable revenue in prior years (K_{y-p}) for each period is to be calculated on the following basis:

$$K_{y-p} = \left(\sum_{y-2}^{CNa} [DNT_{y-2} \times CLe_{y-2}] - \sum_{y-2}^{CNe} [DNT_{y-2} - CLa_{y-2}] \right) \times \frac{CPI_y}{CPI_{y-2}} \times (+WACC_{y-2})$$

$$+ (+WACC_{y-1}) \left(\sum_{y-1}^{CNe} [DNT_{y-1} \times CLf_{y-1}] - \sum_{y-1}^{CNf} [DNT_{y-1} - CLe_{y-1}] \right) \times \frac{CPI_y}{CPI_{y-1}} \times (+WACC_{y-1})$$

$$K_{y-p} = (DTRa_{y-2} - DTRf_{y-2}) \times \frac{CPI_y}{CPI_{y-2}} \times (+WACC_{y-2})$$

$$+ (+WACC_{y-1}) (DTRf_{y-1} - DTRe_{y-1}) \times \frac{CPI_y}{CPI_{y-1}} \times (+WACC_{y-1})$$

where,

$$DTRa_{y-2} = \left(\sum_{y-2}^{CNa} [DNT_{y-2} \times CLa_{y-2}] \right)$$

$$DTRe_{y-2} = \sum_{y-2}^{CNe} [DNT_{y-2} \times CLe_{y-2}]$$

$$DTRf_{y-1} = \sum_{y-1}^{CNf} [DNT_{y-1} \times CLf_{y-1}]$$

$$DTRe_{y-1} = \sum_{y-1}^{CNe} [DNT_{y-1} \times CLe_{y-1}]$$

Note: as the adjustment for the next period is calculated prior to the end of the current period, a forward estimate of the annual quantity is used and corrected in the subsequent period, also as per the definition of Distribution Network Tariff in the determination, excludes metering and transmission charge recovery.

Where,

CNf is the forecast number of customers at the start of the relevant period;

CLf is the forecast customer load for the relevant period;

CNe is the estimated number of customers at the start of the relevant period;

CLe is the estimated customer load for the relevant period;

CNa is the actual number of customers at the start of the relevant period;

DNT_{y-1} is the distribution network tariff for the period prior to the relevant period;

Cle_{y-1} is the estimated customer load for the period prior to the relevant period;

Clf_{y-1} is the forecast customer load for the period prior to the relevant period;

DNT_{y-2} is the distribution network tariff for the period before the previous period;

Clay_{y-2} is the actual customer load for the period before the previous period;

Cle_{y-2} is the estimated customer load for the period before the previous period;

DTRa_{y-2} is the actual revenue from distribution network tariff for the period before the previous period;

DTRe_{y-2} is the estimated revenue from distribution network tariff for the period before the previous period;

DTRe_{y-1} is the estimated revenue from distribution network tariff for the period prior to the relevant period;

DTRf_{y-1} is the forecast revenue from distribution network tariff for the period prior to the relevant period;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period;

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period;

CPI_{y-2} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of two periods prior to the relevant period;

$WACC_{y-1}$ is the Weighted Average Cost of Capital in the previous period; and

$WACC_{y-2}$ is the Weighted Average Cost of Capital two periods previous.

Actual revenue from distribution tariff for Period 2, $DTRa_{y-2}$

The actual revenue from distribution tariffs for period 2 is \$288.161m.

Estimated revenue from distribution tariff for Period 2, $DTRe_{y-2}$

The estimated revenue from distribution tariffs for period 2, as derived from the sum of the estimated number of customers, the estimated customer load and the distribution tariff for the period, is \$280.047m.

Forecast revenue from distribution tariff for Period 3, $DTRf_{y-1}$

The forecast revenue from distribution tariffs for period 3, as derived Table 50 of the Period 3 Initial Network Tariff Pricing Proposal, is \$318.037m. This figure is derived by taking the total revenue less metering revenue due to the price cap nature of the metering revenue stream.

Estimated revenue from distribution tariff for Period 3, $DTRe_{y-1}$

The estimated revenue from distribution tariffs for period 3, as derived from the sum of the estimated number of customers, the estimated customer load and the distribution tariff for the period, is \$314.418m.

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2009 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 169.5.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the December quarter of 2008 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 166.00.

Weighted Average of All Capital Cities CPI, CPI_{y-2}

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.1.

$$K_{4-p} = \left(DT Re_{y-2} - DTRa_{y-2} \right) \times \frac{CPI_y}{CPI_{y-2}} \times \left(1 + WACC_{y-2} \right) \times \left(1 + WACC_{y-1} \right) + \left(DTRf_{y-1} - DT Re_{y-1} \right) \times \frac{CPI_y}{CPI_{y-1}} \times \left(1 + WACC_{y-1} \right)$$

$$K_{4-p} = \left(\$80.047 - 288.161 \right) \times \frac{169.5}{160.1} \times \left(+ 0.0664 \right) \\ \left(+ 0.0664 \right) + \left(\$18.037 - 314.418 \right) \times \frac{169.5}{166.00} \times \left(+ 0.0664 \right)$$

$$K_{4-p} = -5.829m$$

For period 4, $K_{4-p} = -\$5.829m$

8.4. **National Energy Market Charge Adjustment; $NEMC_y$**

The adjustment for the difference between the actual National Energy Market charge and the forecast charge for the previous period is to be calculated on the following basis:

$$NEMC_y = \left(NEMCa_{y-1} \times \frac{CPI_y}{CPI_{y-1}} - NEMCf_{y-1} \times \frac{CPI_y}{CPI_0} \right) \times \left(+ WACC \right)$$

Where,

$NEMCa_{y-1}$ is the actual charge for the previous period, apportioned and CPI adjusted from the annual charge published in the Gazette;

$NEMCf_{y-1}$ is the forecast charge for the previous period, as detailed in Table 3 of the determination;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

CPI_0 is the Weighted Average of All Capital Cities CPI for the quarter ending 30 June 2006, being 154.3; and

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period; and

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period.

Forecast NEM charge for Period 3, $NEMCf_{y-1}$

The forecast NEM charge for period 3, as detailed in Table 3 of the determination, is \$0.365m.

Actual NEM charge for Period 3, $NEMCa_{y-1}$

The actual National Energy Market charge applicable to period 3, as determined by the Minister and published in the Gazette is \$0.372m.

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2009 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 169.5.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the December quarter of 2008 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 166.00.

$$NEMC_4 = \left(0.372 \times \frac{169.5}{166.0} - 0.365 \times \frac{169.5}{154.3} \right) \times \text{[+ 0.0664]}$$

$$NEMC_4 = -0.022m$$

For period 4, $NEMC_4 = -\$0.022m$

8.5. Trunk Mobile Radio Network Charge Adjustment; TMR_y

The adjustment for the difference between the actual trunk mobile network charge and the forecast charge for the previous period is to be calculated on the following basis:

TMR_1 , TMR_2 and $TMR_3 = 0$

If contract is not renegotiated in period 3,

$$TMR_4 = -\$400,000 \times \frac{CPI_y}{CPI_0}$$

Otherwise,

$$TMR_y = \left(TMR_{a_{y-1}} \times \frac{CPI_y}{CPI_{y-1}} - TMR_{f_{y-1}} \times \frac{CPI_y}{CPI_0} \right) \times \text{[+ WACC]}$$

Where,

$TMR_{a_{y-1}}$ is the actual charge for the previous period;

$TMR_{f_{y-1}}$ is the forecast charge for the previous period, as detailed in Table 5 of the determination;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

CPI_0 is the Weighted Average of All Capital Cities CPI for the quarter ending 30 June 2006, being 154.3;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period, being 166.0; and

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period, being 160.1;

Actual TMR charge for Period 3, $TMR_{a_{y-1}}$

The actual TMR charge applicable to period 3 is \$1.655m.

Forecast TMR charge for Period 3, $TMR_{f_{y-1}}$

The forecast TMR charge for period 3, as detailed in Table 5 of the determination, is \$2.00m.

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2009 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 169.5.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the December quarter of 2008 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 166.00

$$TMR_y = \left(TMR_{a_{y-1}} \times \frac{CPI_y}{CPI_{y-1}} - TMR_{f_{y-1}} \times \frac{CPI_y}{CPI_0} \right) \times \left(\text{WACC} \right)$$

$$TMR_4 = \left(1.655 \times \frac{169.5}{166.0} - 2.00 \times \frac{169.5}{154.3} \right) \times \left(0.0664 \right)$$

$$TMR_4 = -0.541m$$

For period 4, $TMR_4 = -\$0.541m$

8.6. *GSL threshold Adjustment; $GSLse_y$*

The adjustment for making single duration outage GSL payments to customers where the threshold for payments has been subsequently altered using the methodology described in Schedule 1 of the Determination and which has not previously been adjusted for is to be calculated on the following basis:

$$GSLse_y = \left(GSLse_{y-1} \times \frac{CPI_y}{CPI_{y-1}} \right) \times \left(\text{WACC} \right)$$

Where,

$$GSLse_{y-1} = \sum_{events} \left(\frac{P}{2} \times 80 \right)$$

Where,

P is the number of payments made to customers who experienced an outage shorter than the adjusted threshold;

$GSLse_{y-1}$ is the sum of the payments made to customers who experienced an outage shorter than the adjusted threshold for the previous period;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period; and

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period.

Actual GSLse charge for Period 2, $GSLse_{y-2}$

The actual GSLse charge applicable to period 2 is \$0.256m.

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2009 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 169.5.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the December quarter of 2008 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 166.00

Weighted Average of All Capital Cities CPI, CPI_{y-2}

The weighted average of all capital cities CPI index number for the December quarter of 2007 as obtained from the Australian Bureau of Statistics web site, www.abs.gov.au, is 160.10

$$GSLse_y = \left(GSLse_{y-2} \times \frac{CPI_y}{CPI_{y-2}} \right) \times \left(1 + 0.0664 \right) \times \left(1 + 0.0664 \right)$$

$$GSLse_y = \left(0.256 \times \frac{169.5}{160.10} \right) \times \left(1 + 0.0664 \right) \times \left(1 + 0.0664 \right)$$

$$GSLse_4 = 0.309m$$

For period 4, $GSLse_4 = \$0.309$

8.7. *Participation in National Energy Market Adjustment; NEM_y*

The adjustment for the difference between the actual allowance for period y-2 approved by the Regulator and the forecast allowance for period y-2 in relation to Aurora Distribution's participation in the NEM and retail contestability costs (but excluding full retail contestability costs) attributable to Aurora Distribution, as detailed in Table 4 of the Determination is to be calculated on the following basis:

$$NEM_y = \left(\left(NEMa_{y-2} - NEMf_{y-2} \right) \times \frac{CPI_{y-2}}{CPI_0} \times \frac{CPI_y}{CPI_{y-2}} \right) \times \left(1 + WACC_{y-2} \right) \times \left(1 + WACC_{y-1} \right)$$

Where,

$NEMf_{y-2}$ is the forecast revenue in relation to the preparation for and participation in the NEM for Aurora Distribution for period y-2 as detailed in Table 4 of the Determination;

$NEMa_{y-2}$ is the actual revenue in relation to the preparation for and participation in the NEM for Aurora Distribution for period y-2;

CPI_{y-2} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of two periods prior to the relevant period;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period;

CPI_0 is the Weighted Average of All Capital Cities CPI for the quarter ending 30 June 2006, being 154.3;

$WACC_{y-1}$ is the Weighted Average Cost of Capital in the previous period; and

$WACC_{y-2}$ is the Weighted Average Cost of Capital two periods previous.

$$NEM_4 = \left(\left(7.615 - 4.651 \times \frac{160.1}{154.3} \right) \times \frac{169.5}{160.1} \right) \times (1 + 0.0664)^2 \times (1 + 0.0664)$$

For period 4, $NEM_4 = \$3.358m$

8.8. Allowance for implementation of Full Retail Contestability; FRC_y

There is no adjustment for implementation of Full Retail Contestability for Period 3.

For period 4, $FRC_4 = \$0$

8.9. Legislation change adjustment; L_y

There is no adjustment for legislative change for Period 3.

For period 4, $L_4 = \$0$

8.10. Capital Contribution policy adjustment; $CapCon_y$

There is no adjustment for variation to capital contribution policy for Period 4.

For period 4, $CapCon_4 = \$0$

8.11. SL payment adjustment; $GSLcap_y$

The adjustment for where total GSL payments to customers for period 1 to period y (inclusive) exceeds the cumulative threshold given in Table 6 of the Determination for is to be calculated on the following basis:

For Period 1:

$$GSLcap_y = \left(GSLa_{y-1} - GSLf_{y-1} \times \frac{CPI_y}{CPI_0} \right) \times (1 + WACC_{y-1})$$

For other periods:

$$GSLcap_y = \left(\sum_{i=1}^y GSLa_{\$2006} - GSLf_{y-1} \right) \times \frac{CPI_y}{CPI_0} \times (1 + WACC_{y-1})$$

Else, the adjustment for period 1 is zero and for all other periods the adjustment is zero less the sum of all adjustments made in periods 1 to y-1 (inclusive).

Where,

$GSLa_{y-1}$ is the actual GSL payments made in the previous period;

$GSL_{a\$2006}$ is the actual GSL payments made in the previous periods in \$2006;

$GSL_{f_{y-1}}$ is the cumulative GSL threshold given in Table 6 of the Determination;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period;

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period;

CPI_{y-2} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of two periods prior to the relevant period;

$WACC_{y-1}$ is the Weighted Average Cost of Capital in the previous period; and

$WACC_{y-2}$ is the Weighted Average Cost of Capital two periods previous.

There is no adjustment for GSL payments for Period 4.

For period 4, $GSL_{cap4} = \$0$

8.12. Revenue banking adjustment; O_y

The maximum provision of O_y for revenue banking that can be utilised for any Period is equal to $\pm 2\%$ of F_y .

The forecast F_y for Period 3, as derived from Table 1 of the determination, is \$209.697m.

For Period 4, the maximum value of O (O_{max}) is:

$$O_{max} = \pm 0.02 \times 209.697 \times \frac{169.5}{154.3}$$

$$O_{max} = \pm 4.607$$

For period 4, Aurora wishes to utilise a value of \$4.607 for O_4 .

$O_4 = \$4.607m$

8.13. 8.12 Tax Event Adjustment; $TAXA_y$

There were no tax events in Period 3.

For period 4, $TAXA_4 = \$0$

8.14. 8.13 Adjustments arising from the administration of the 2003 Determination; CF_y

There is no adjustment arising from the administration of the 2003 Determination applicable for Period 4.

For period 4, $CF_4 = \$0$

9. Audit Certificate

This section is to address Guideline 2.3(d)(11): “A Network Tariff Pricing Proposal must...be accompanied by an internal audit certificate and certified as correct by the Chairman and one other Director of Aurora”.

10. Definitions

“A” or **“Amp”** means ampere;

“AARR” means the aggregate annual revenue requirement determined in accordance with Clause 4 of the 2007 Determination;

“ABC” means aerial bundled cable;

“AER” means the Australian Energy Regulator;

“Aurora” means Aurora Energy Pty Ltd (ABN 85 082 464 622);

“charging parameters” of a Network Tariff means the constituent elements of the Network Tariff;

“Consumer Price Index” or **“CPI”** means the Consumer Price Index: Average All Capital Cities published by the Australian Statistician under the Census and Statistics Act 1905 of the Commonwealth;

“Contestable Customer Regulations” means the *Electricity Supply Industry (Contestable Customer) Regulations 2005*;

“customer” has the same meaning as in the TEC;

“distribution connected customer” means a distribution customer other than an electricity retailer, where distribution customer and electricity retailer have the same meaning as in the TEC;

“distribution Network Tariff” means the schedule of fees (including the rate or rates) Aurora uses to calculate the amount it charges customers, or a class of customers, to recover its AARR, as amended from time to time;

“DORC” means depreciated optimised replacement cost;

“DUoS” means Distribution Use of System;

“duration of the Determination” means the period from 1 January 2008 to 30 June 2012.

“ESI Act” means the *Electricity Supply Industry Act 1995*;

“Final Pricing Investigation Report” means the *Investigation of Prices for Electricity Distribution Services and Retail Tariffs on Mainland Tasmania, Final Report and Proposed Maximum Prices* issued in September 2007;

“FRC” means Full Retail Contestability;

“Guideline” means the *Approval of Network Tariffs in accordance with the 2007 Determination Guideline* issued by the Regulator in November 2007;

“HV” means high voltage;

“kVA” means kilovolt amp;

“kW” means kilowatt;

“kWh” means kilowatt hour;

“large customer” means a customer that is not a small customer;

“LV” means low voltage;

“National Electricity Law” or **“NEL”** has the same meaning as in the ESI Act;

“National Electricity Market” or **“NEM”** has the same meaning as in the ESI Act;

“National Electricity Rules” or **“NER”** has the same meaning as in the ESI Act;

“NEMMCO” has the same meaning as in the ESI Act;

“NEM related costs” means those costs incurred by Aurora in providing the declared services related to electricity market reform as approved by the Regulator under Clause 4 of the 2007 Determination;

“Network Tariff” means the schedule of fees (including the rate or rates) Aurora uses to calculate the amount it charges customers, or a class of customers, for network services, and for network services and metering services associated with a Type 5, 6 or 7 installation, as amended from time to time;

“NTS” means the Network Tariff Strategy;

“NUoS” means network use of system;

“ORC” means optimised replacement cost;

“Period 1” means the period commencing 1 January 2008 and ending on 30 June 2008;

“Period 2” means the period commencing 1 July 2008 and ending on 30 June 2009;

“Period 3” means the period commencing 1 July 2009 and ending on 30 June 2010;

“Period 4” means the period commencing 1 July 2010 and ending on 30 June 2011;

“Period 5” means the period commencing 1 July 2011 and ending on 30 June 2012;

“Price Control Regulations” mean the *Electricity Supply Industry (Price Control) Regulations 2003*;

“Regulator” has the same meaning as in the ESI Act;

“small customer” has the same meaning as in the 2007 Determination;

“TEC” means the Tasmanian Electricity Code (as amended from time to time), published by the Regulator under the ESI Act;

“ToU” means time of use;

“Transend” means Transend Networks Pty Ltd (ABN 57 082 586 892) or its successors;

“transmission charges” means those charges attributable to distribution connected customers imposed by Transend for the provision of transmission services in accordance with the NER;

“TUoS” means Transmission Use of System;

“typical customers” means a set of customers derived using the methodology described in the *Typical Electricity Customers Information Paper* issued by the Office of the Tasmanian Energy Regulator in March 2006;

“2007 Determination” means the *Electricity Supply Industry Pricing Policies Declared Electrical Services Pricing Determination* issued by the Regulator in accordance with the Price Control Regulations in October 2007.